Qualcomm (NASDAQ: QCOM)

1. Current thesis and valuation

Published 2026-11-05. November 4, 2026 close: USD 173.19. Q4 2027 calculated ceiling: $149.41. Research status: COVERAGE ONLY / NOT HELD. Framework category: BENEFICIARY / Watchlist. Raw score 41/60 = 68%; analytical Base 68; Excel Base 68.

Qualcomm is expanding from mobile computing into custom data-center silicon, connectivity, inference accelerators and server CPUs. The November 4 earnings call raises the importance of delivering the first large data-center ramp while managing a handset transition and rising input costs.

The valuation uses the validated current model, its complete four-quarter windows and the dated market close. The source snapshot is November 4, 2026. Each forward window uses the same operating, debt and end-window ownership model.

2. Framework pre-analysis and addressable opportunity

Qualcomm combines established handset and licensing franchises with an early data-center ramp and an expanding automotive platform. The stage of each business matters: mobile profitability supports current cash generation, while data-center adoption depends on design qualification, customer acceptance and manufacturing supply. The framework classifies these businesses separately before combining their contribution to the company.

The present addressable market includes mobile devices, licensing, connected vehicles and initial custom-silicon programs. The three-to-five-year view extends into inference accelerators, server CPUs, robotics and optical connectivity. The outer opportunity includes agentic devices and terrestrial-satellite network integration. Each layer requires a distinct product, customer invoice and adoption timetable.

Adjacent-market value comes from reusing compute architecture, connectivity intellectual property, power-efficiency expertise, software and customer relationships. The forecast recognizes that value through specific product volumes, unit economics and launch probabilities. A second broad market multiplier is excluded from the operating calculation, which preserves the selected joint probabilities and avoids counting the same adoption twice.

Competitive markets and large customer internal-design teams limit durable pricing power. The central test is whether reusable technology produces accepted, profitable shipments at a pace that can support the required engineering and capital spending.

3. Cross-company competition and capacity watch

ARM is a linked licensing and architecture exposure. Qualcomm competes through implementation, system design and software while depending on licensed technology and contractual rights. Licensing disputes, architecture transitions and changes to royalty terms can affect Qualcomm independently of end-device shipment growth.

AMD and Intel are relevant comparisons for server CPUs and inference performance. Their product cadence, software ecosystem and customer qualification provide checks on Qualcomm’s CPU adoption assumptions. Broadcom and Marvell provide comparisons for custom silicon, connectivity and customer-specific engineering. Large hyperscalers can expand internal designs or divide programs among suppliers.

Foundry, advanced packaging, memory and optical-component capacity constrain how quickly design wins become delivered systems. Evidence from those suppliers can update the timing or cost of Qualcomm’s existing modeled product family. A supplier announcement receives no automatic extra Qualcomm revenue until the customer, product scope and overlap are established.

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

The watch list follows system performance per watt, software readiness, customer purchase milestones, foundry and package qualification, memory cost and lead times. These observations feed the same product and execution assumptions already present in the joint model.

4. Business and common-equity claim

QCT sells semiconductors and related platforms across handsets, automotive, IoT and the emerging data-center business. QTL earns licensing revenue. Fiscal reporting combines businesses with different customer cycles, margins, inventory needs and payment terms, so the forecast tracks their economics separately.

Common shareholders have a residual claim after the financial debt deducted in the valuation. Employee awards, issued acquisition consideration and the customer warrant require different share and cash treatment. The forecast carries each through a dated ownership bridge.

5. Computing architecture and invoice map

The data-center opportunity has four product families: custom silicon, connectivity, HBC accelerators and CPUs. The selected revenue path partitions the same data-center total among these families. A custom engagement can include design, intellectual property, physical implementation, manufacturing and package integration; the customer contract determines how much of that work becomes a Qualcomm invoice.

Equivalent chip prices provide a physical cross-check on the revenue forecast. Their values are analytical assumptions because the company does not disclose the required customer-level volumes, memory content, product prices or wafer commitments. HBC bandwidth and efficiency measurements inform product credibility; they do not determine the number of units shipped.

6. Data-center gross revenue by product

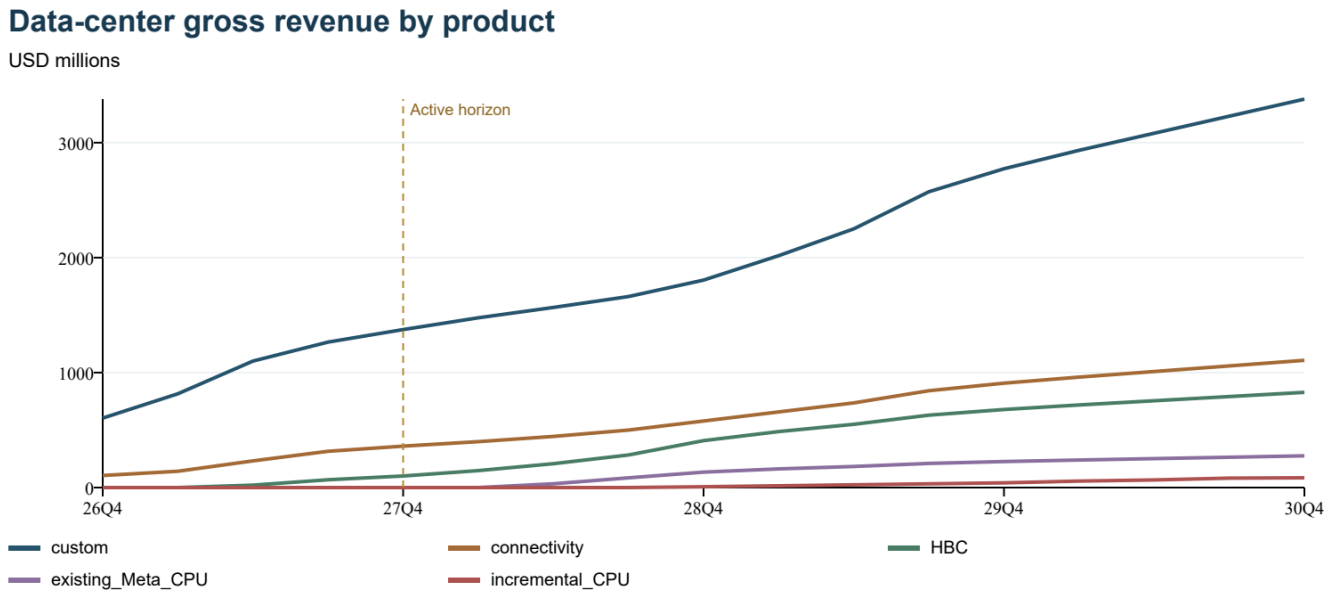


Figure 1. Data-center gross revenue by product. USD millions. Exact values appear below.

Quarter	custom	connectivity	HBC	existing_Meta_CPU	incremental_CPU
2026Q4	604.144	105.000	0.000	0.000	0.000
2027Q1	815.595	141.750	0.000	0.000	0.000
2027Q2	1,100.156	231.971	21.000	0.000	0.000
2027Q3	1,265.254	315.493	67.805	0.000	0.000
2027Q4	1,374.153	360.273	100.599	0.000	0.000
2028Q1	1,476.634	399.308	147.409	0.000	0.000
2028Q2	1,566.593	444.728	207.592	32.900	0.000
2028Q3	1,661.354	499.893	283.356	84.470	0.000
2028Q4	1,804.550	578.803	408.143	134.293	7.000
2029Q1	2,017.089	657.827	486.911	162.304	15.366
2029Q2	2,250.242	736.348	550.253	183.418	23.871
2029Q3	2,573.008	842.308	629.723	209.907	32.377
2029Q4	2,773.137	908.008	678.998	226.333	40.883
2030Q1	2,933.499	960.653	718.481	239.494	56.388
2030Q2	3,081.921	1,009.378	755.025	251.675	66.259
2030Q3	3,230.342	1,058.103	791.569	263.856	81.905
2030Q4	3,378.764	1,106.828	828.113	276.038	84.776

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

7. Source exhibit: Issuer product map: custom silicon, AI accelerators, CPUs and connectivity within the data-center platform

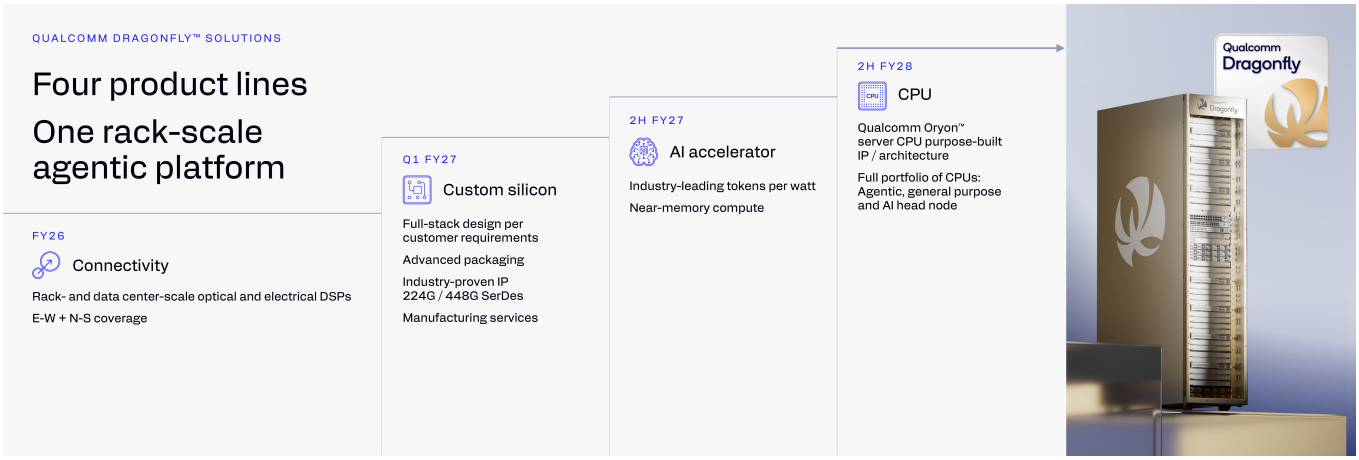


Figure 2. Issuer product map: custom silicon, AI accelerators, CPUs and connectivity within the data-center platform. Original presentation scope and dates are retained.

8. Source exhibit: Issuer custom-engagement map from specifications through design and manufacturing

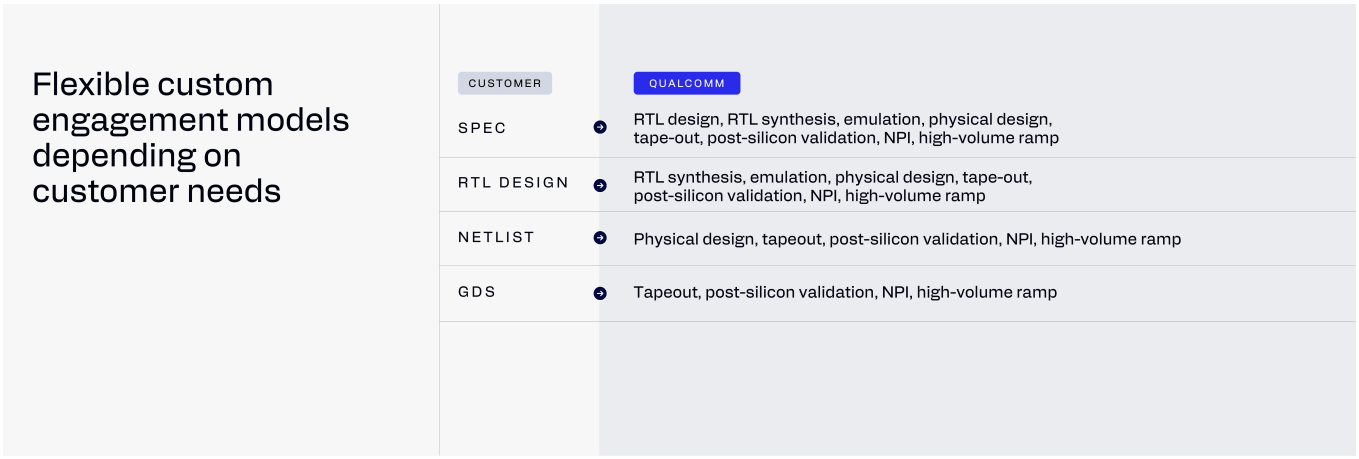


Figure 3. Issuer custom-engagement map from specifications through design and manufacturing. The contracted scope determines the revenue and cost captured.

9. HBC engineering evidence

The November 2 engineering update describes a tester-based validation process and reports comparisons for effective memory bandwidth and bandwidth per watt. The original diagrams show the test method and the qualification attached to each comparison. The evidence supports continued engineering progress while customer acceptance, system integration and volume qualification remain commercial gates.

AI250 sampling is scheduled for the first half of calendar 2027. The selected model starts HBC revenue later in fiscal 2027, with no HBC revenue in the December 2026 or March 2027 quarters. Its initial sales share is small within the existing data-center forecast.

The displayed HBC figures normalize measured silicon to target operating conditions and compare published memory specifications. Workload, device configuration and the normalization assumptions affect those comparisons.

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

10. Source exhibit: Qualcomm November 2 engineering update: tester-based HBC measurement workflow and comparison method

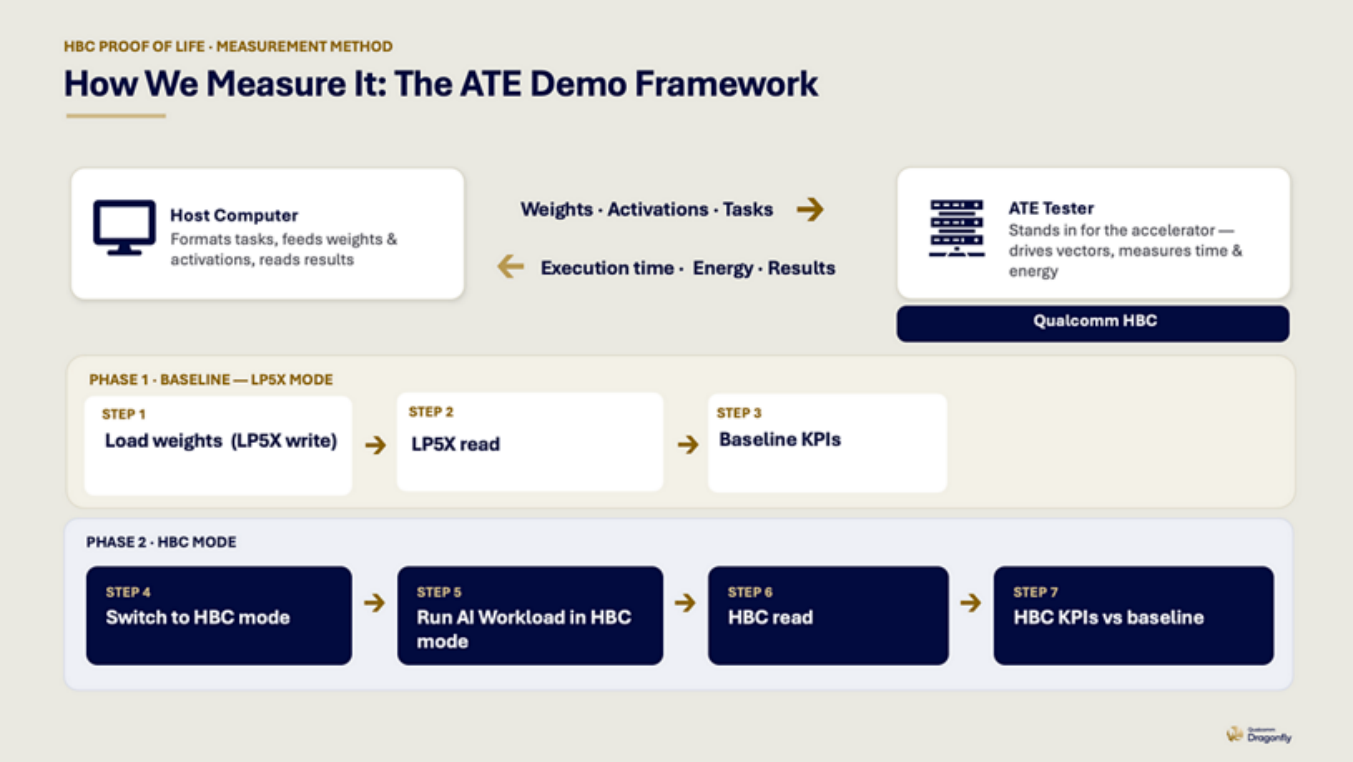


Figure 4. Qualcomm November 2 engineering update: tester-based HBC measurement workflow and comparison method.

11. Source exhibit: Qualcomm November 2 HBC measurements with their original bandwidth and power comparison qualifications

Validation area	What was measured	Qualcomm HBC Gen 1 result*
Effective memory bandwidth	Relative throughput across the memory path	18x higher than LPDDR5X
Bandwidth per watt	Effective bandwidth relative to power	More than 5x higher than HBM4

Figure 5. Qualcomm November 2 HBC measurements with their original bandwidth and power comparison qualifications. Figures normalize measured silicon to target operating conditions and compare published specifications; workload and configuration affect the comparison.

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

12. Source exhibit: Issuer accelerator roadmap and performance comparisons



Figure 6. Issuer accelerator roadmap and performance comparisons. Workload, configuration and power qualifications apply to the original comparisons.

13. Existing hyperscaler programs

Management expects more than $650 million of data-center revenue in fiscal Q1 2027, approximately $5 billion for fiscal 2027 and approximately $15 billion for fiscal 2029. The fiscal 2027 exit run rate is approximately $7 billion annualized. Those amounts are company targets with customer-acceptance and supply dependencies.

The model treats these amounts as recognized net revenue. The early quarter is calibrated to the current guidance and common across all commercial states. Later shipment timing, retention and fixed supplier capacity determine the realized path. The forecast explicitly carries deferred units, paid inventory commitments and customer-warrant consideration.

14. Accepted data-center revenue

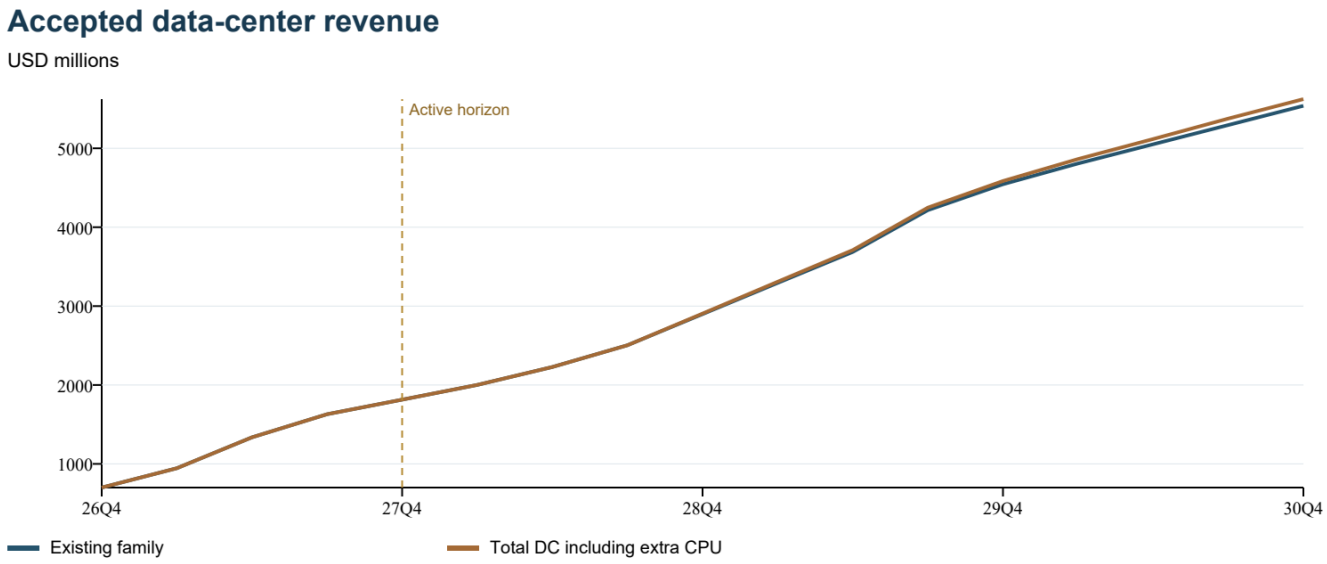


Figure 7. Accepted data-center revenue. USD millions. Exact values appear below.

Quarter	Existing family	Total DC including extra CPU
2026Q4	700.000	700.000
2027Q1	945.000	945.000
2027Q2	1,336.475	1,336.475
2027Q3	1,629.400	1,629.400
2027Q4	1,814.225	1,814.225
2028Q1	2,001.000	2,001.000
2028Q2	2,228.100	2,228.100
2028Q3	2,503.925	2,503.925
2028Q4	2,898.475	2,905.475
2029Q1	3,293.600	3,308.966
2029Q2	3,686.200	3,710.071
2029Q3	4,216.000	4,248.377
2029Q4	4,544.500	4,585.383
2030Q1	4,807.725	4,864.113
2030Q2	5,051.350	5,117.609
2030Q3	5,294.975	5,376.880
2030Q4	5,538.600	5,623.376

15. Company DC targets and model delivery

Fiscal year	Company target	Expected existing-family revenue	Difference
FY2027	5,000.000	4,610.875	-389.125
FY2029	15,000.000	14,094.275	-905.725

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

16. Source exhibit: Issuer data-center target framework

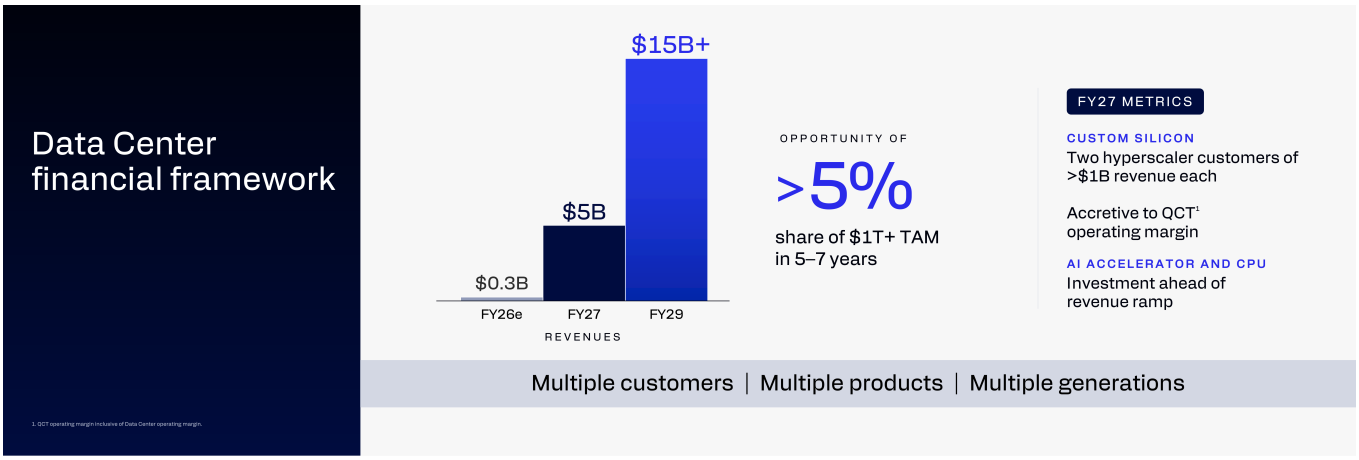


Figure 8. Issuer data-center target framework. These revenue targets are assessed against customer acceptance, capacity and product timing.

17. CPU and software opportunity

Meta CPU revenue enters the existing data-center mix from the second half of fiscal 2028. A separate conditional case captures one additional CPU customer beginning in calendar Q4 2028. The additional case has its own physical capacity and a 15% engineering and support cost.

Modular strengthens the software effort supporting heterogeneous computing. Acquisition-related employee service costs continue through their finite service periods. The selected cost budget already includes platform qualification spending, which is identified within the budget when tracing the incremental CPU case.

18. CPU programs and incremental conversion

Quarter	Meta CPU gross revenue	Additional CPU gross revenue	Additional support
2026Q4	0.000	0.000	0.000
2027Q1	0.000	0.000	0.000
2027Q2	0.000	0.000	0.000
2027Q3	0.000	0.000	0.000
2027Q4	0.000	0.000	0.000
2028Q1	0.000	0.000	0.000
2028Q2	32.900	0.000	0.000
2028Q3	84.470	0.000	0.000
2028Q4	134.293	7.000	1.050
2029Q1	162.304	15.366	2.305
2029Q2	183.418	23.871	3.581
2029Q3	209.907	32.377	4.857
2029Q4	226.333	40.883	6.132
2030Q1	239.494	56.388	8.458
2030Q2	251.675	66.259	9.939
2030Q3	263.856	81.905	12.286
2030Q4	276.038	84.776	12.716

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

19. Additional CPU conditional contribution - FY2029

USD millions. Reference revenue covers the full company in matched no-conversion states; incremental cost is the revenue increment less the normalized operating-profit increment. Conditional OP bounds: 22.713 to 95.167. Qualification, capacity and delivery states are held to their paired case.

Probability %	Reference revenue	Conditional revenue gain	Incremental cost	Conditional OP gain	Weighted OP gain
34.450	66,260.346	228.197	141.357	86.839	29.916

20. Handset transition and pricing

The handset forecast reflects the Apple modem transition, Android demand and customer inventory. Earlier company materials described an accelerated decline in Apple product revenue and lower modem share in the upcoming iPhone launch. The current call also addresses broad increases in wafer, memory, packaging and other input costs.

The selected baseline pairs selling-price increases with rising manufacturing costs. Handset price and cost indices allow modest margin recovery without assigning an independent price windfall. The adverse mobile case lowers handset and legacy-IoT units, adds a bounded input-cost burden and saves only a small variable-support amount. Committed R&D and stock compensation continue.

The retained Chinese CPU pricing table is dated supply-chain reporting. Its quoted premium sits within the same price and cost discussion and has no separate additive revenue line.

21. Handset and legacy IoT revenue

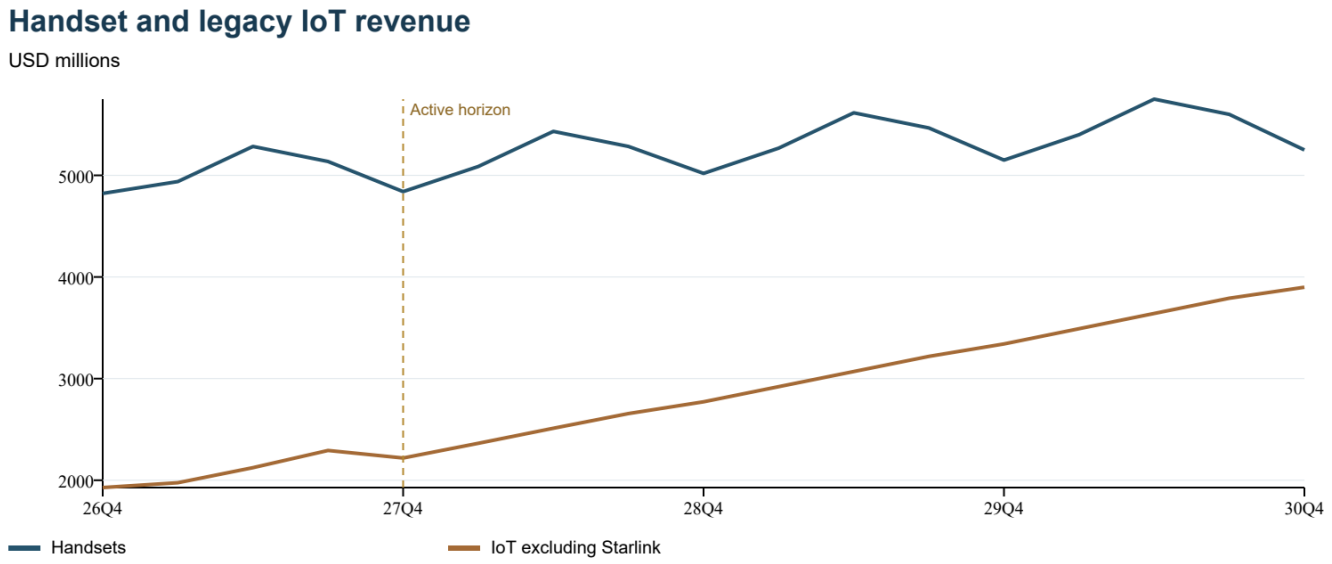


Figure 9. Handset and legacy IoT revenue. USD millions. Exact values appear below.

Quarter	Handsets	IoT excluding Starlink
2026Q4	4,822.000	1,928.000
2027Q1	4,938.750	1,975.500
2027Q2	5,284.463	2,123.663
2027Q3	5,136.300	2,292.930
2027Q4	4,839.975	2,218.816
2028Q1	5,086.913	2,363.356
2028Q2	5,432.625	2,511.453
2028Q3	5,284.463	2,655.961
2028Q4	5,019.069	2,771.719
2029Q1	5,267.538	2,920.700
2029Q2	5,615.394	3,069.682
2029Q3	5,466.313	3,218.664
2029Q4	5,150.000	3,341.125
2030Q1	5,400.000	3,491.050
2030Q2	5,750.000	3,640.975
2030Q3	5,600.000	3,790.933
2030Q4	5,250.000	3,899.067

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

22. Source exhibit: Earlier issuer discussion of Apple modem-share transition, Android inventory and input-cost inflation

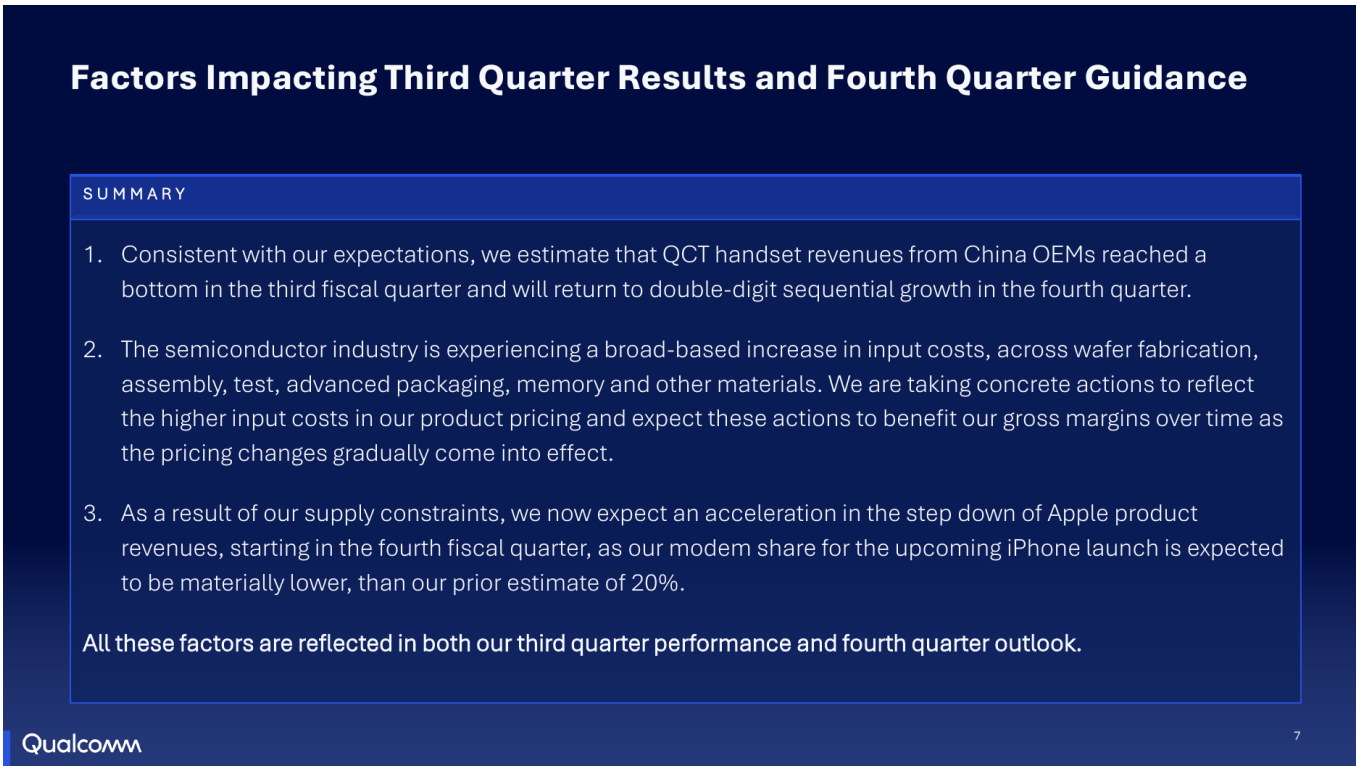


Figure 10. Earlier issuer discussion of Apple modem-share transition, Android inventory and input-cost inflation. The current forecast uses the November call and retained historical context.

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

23. Source exhibit: Retained Commercial Times CPU-pricing table, attributed secondary supply-chain reporting

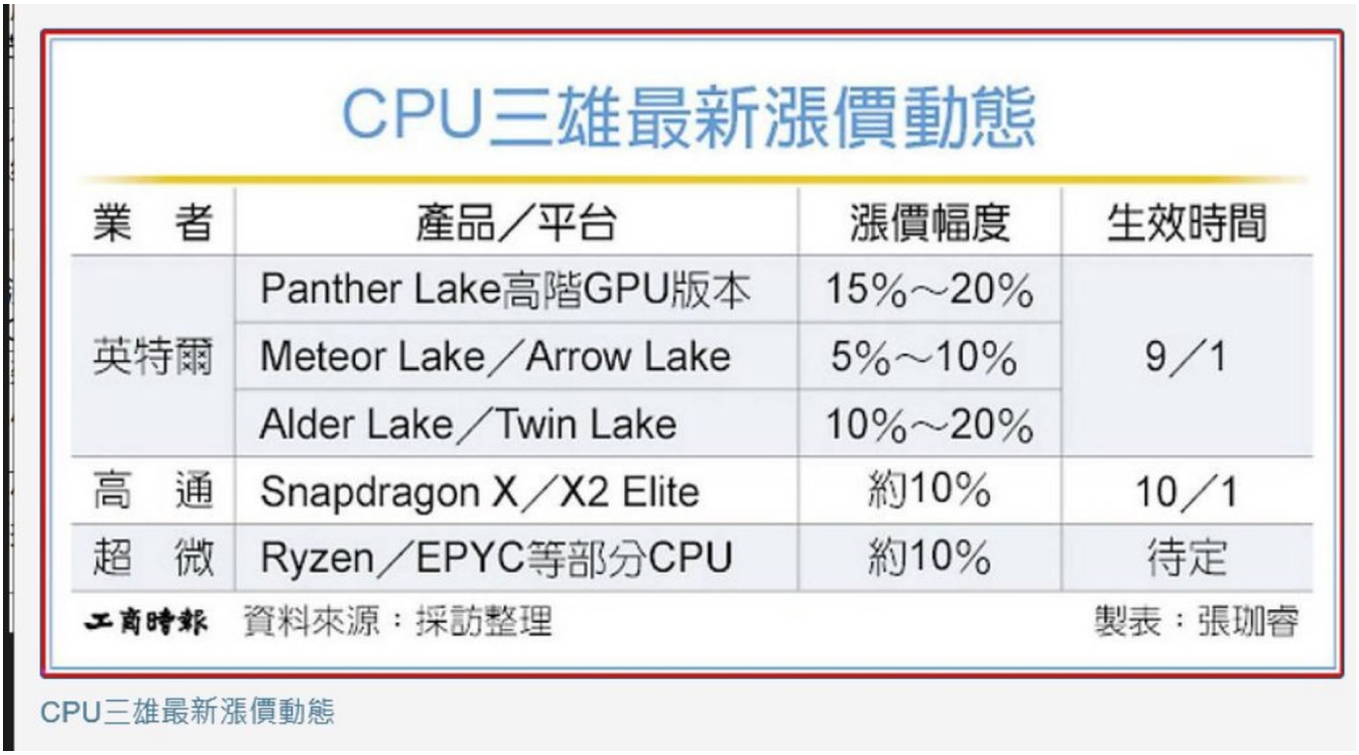


Figure 11. Retained Commercial Times CPU-pricing table, attributed secondary supply-chain reporting. Its pricing evidence enters the existing product price/cost assumptions once.

24. Automotive content

Automotive growth depends on production launches, platform content and customer vehicle volumes. Cockpit, connectivity and driver-assistance functions can increase content per vehicle as new programs enter production. Revenue recognition follows the delivered product and contract terms.

The design-win pipeline exhibit summarizes expected lifetime business across programs. The current model uses a quarterly sales path and customer-production assumptions. Pipeline value remains a distinct, longer-dated commercial indicator.

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

25. Automotive revenue

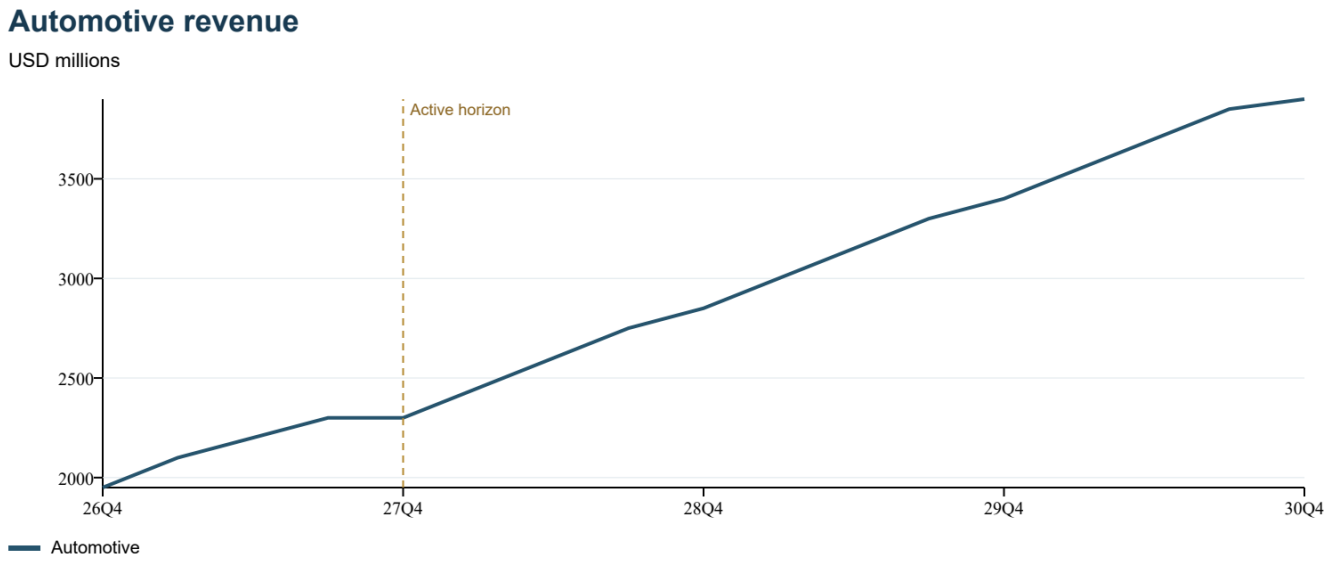


Figure 12. Automotive revenue. USD millions. Exact values appear below.

Quarter	Automotive
2026Q4	1,950.000
2027Q1	2,100.000
2027Q2	2,200.000
2027Q3	2,300.000
2027Q4	2,300.000
2028Q1	2,450.000
2028Q2	2,600.000
2028Q3	2,750.000
2028Q4	2,850.000
2029Q1	3,000.000
2029Q2	3,150.000
2029Q3	3,300.000
2029Q4	3,400.000
2030Q1	3,550.000
2030Q2	3,700.000
2030Q3	3,850.000
2030Q4	3,900.000

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

26. Source exhibit: Issuer automotive lifetime design-win pipeline

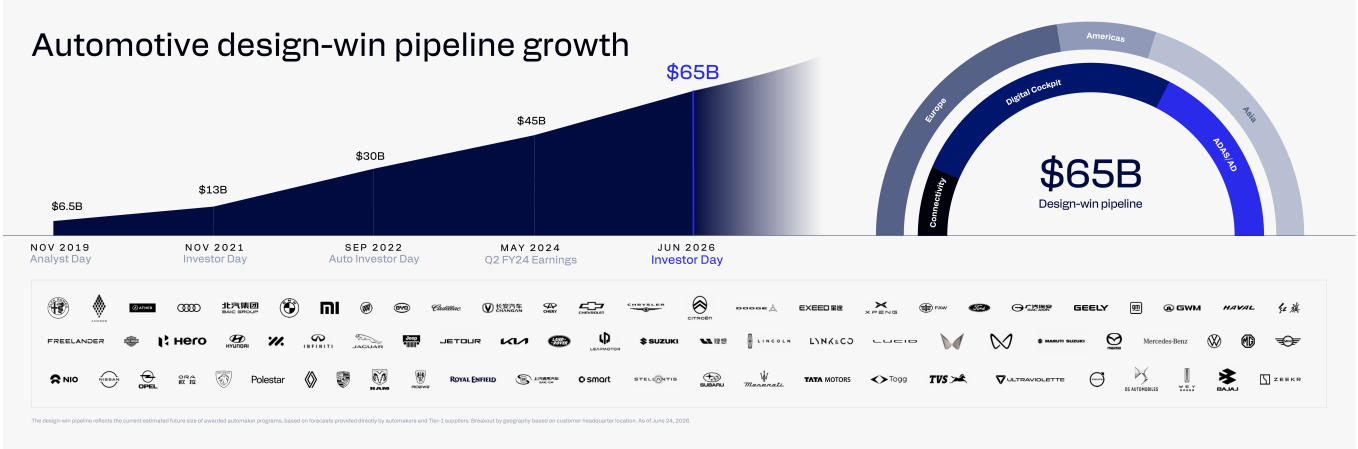


Figure 13. Issuer automotive lifetime design-win pipeline. Quarterly recognized sales depend on vehicle programs entering production.

27. IoT and Starlink

The November 4 Starlink Mobile announcement identifies QRU 100 and QDU 100 platforms, Layer 1 software and a 64T64R radio architecture, with rollout beginning in 2027 across tens of thousands of sites. Qualcomm has not disclosed unit pricing, a binding total purchase amount or the full site-deployment schedule.

The selected analytical case uses 30,000 sites over fiscal 2027-2030 and a $4,000 Qualcomm wallet per site: $3,600 of hardware and $400 of software. Hardware revenue follows acceptance; software is billed at deployment and recognized over twelve quarters. The delayed case deploys half of the reference sites two quarters later. The program replaces its full reference contribution inside IoT before realized revenue is added.

Hardware costs, software fulfillment, incremental support, accounts receivable and deferred software revenue remain explicit. The software recognition period and site wallet are contract-gap assumptions and receive separate sensitivities.

28. Starlink deployment and recognition

Sites are individual deployed sites. Revenue, billings and deferred balances are USD millions.

Quarter	Sites	Hardware revenue	Software revenue	Billed	Deferred software
2026Q4	0.000	0.000	0.000	0.000	0.000
2027Q1	0.000	0.000	0.000	0.000	0.000
2027Q2	0.000	0.000	0.000	0.000	0.000
2027Q3	651.000	2.344	0.022	2.604	0.239
2027Q4	651.000	2.344	0.043	2.604	0.456
2028Q1	1,476.500	5.315	0.093	5.906	0.954
2028Q2	1,476.500	5.315	0.142	5.906	1.402
2028Q3	2,302.000	8.287	0.219	9.208	2.105
2028Q4	2,302.000	8.287	0.295	9.208	2.730
2029Q1	2,476.500	8.915	0.378	9.906	3.343
2029Q2	2,476.500	8.915	0.460	9.906	3.873
2029Q3	2,476.500	8.915	0.543	9.906	4.321

Quarter	Sites	Hardware revenue	Software revenue	Billed	Deferred software
2029Q4	1,988.250	7.158	0.609	7.953	4.507
2030Q1	1,988.250	7.158	0.676	7.953	4.627
2030Q2	1,857.375	6.687	0.737	7.430	4.632
2030Q3	1,857.375	6.687	0.778	7.430	4.598
2030Q4	392.625	1.413	0.769	1.571	3.986

29. Latest reported earnings

For fiscal Q4 2026, Qualcomm reported $10.322 billion of GAAP revenue, $1.356 billion of GAAP operating profit and $1.251 billion of net income. Company non-GAAP revenue was $10.442 billion and non-GAAP operating profit was $2.769 billion. The reconciliation includes stock compensation, acquisition-related items, restructuring and a customer legal settlement.

Fiscal 2026 operating cash flow was $11.145 billion and capital expenditures were $2.494 billion. Full-year net income includes a large deferred-tax valuation allowance release. The report separates recurring operating performance from that discrete accounting benefit.

30. Reported fiscal Q4 2026

USD millions except EPS	GAAP	Company non-GAAP
Revenue	10,322.000	10,442.000
Gross profit	5,238.000	5,474.000
Operating profit	1,356.000	2,769.000
Pretax income	1,173.000	2,666.000
Net income	1,251.000	2,332.000
EPS	1.170	2.170

31. Reported fiscal 2026 cash flow

Item	USD millions
Operating cash flow	11,145.000
Capital expenditure	2,494.000
Free cash flow	8,651.000
Share-based compensation	3,452.000
Dividends	3,854.000
Repurchases	7,817.000
Employee withholding	1,134.000

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

32. Source exhibit: Q4 segment results Source PDF page 2

Segment Results

Fourth Quarter

	QCT			QTL		
(in millions, except percentages)	**Q4 Fiscal 2026**	Q4 Fiscal 2025	*Change*	**Q4 Fiscal 2026**	Q4 Fiscal 2025	*Change*
Revenues	**$9,015**	$9,821	*(8%)*	**$1,304**	$1,409	*(7%)*
EBT	**$2,142**	$2,896	*(26%)*	**$918**	$1,015	*(10%)*
EBT as % of revenues	***24%***	*29%*	*-5 points*	***70%***	*72%*	*-2 points*

Fiscal 2026

	QCT			QTL		
(in millions, except percentages)	**Fiscal 2026**	Fiscal 2025	*Change*	**Fiscal 2026**	Fiscal 2025	*Change*
Revenues	**$37,208**	$38,367	*(3%)*	**$5,556**	$5,582	—
EBT	**$10,101**	$11,670	*(13%)*	**$4,022**	$4,043	*(1%)*
EBT as % of revenues	***27%***	*30%*	*-3 points*	***72%***	*72%*	—

QCT Revenue Streams[1]

	Fourth Quarter			Fiscal		
(in millions, except percentages)	**2026**	2025	*Change*	**2026**	2025	*Change*
Handsets	**$5,137**	$6,961	*(26%)*	**$24,072**	$27,793	*(13%)*
Automotive	**1,990**	1,053	*+89%*	**6,004**	3,957	*+52%*
IoT (internet of things)	**1,888**	1,807	*+4%*	**7,132**	6,617	*+8%*
Total QCT revenues	**$9,015**	$9,821	*(8%)*	**$37,208**	$38,367	*(3%)*

(1) We disaggregate QCT revenues based on the industries and applications in which our products are sold.

Return of Capital to Stockholders

The following table summarizes our return of capital to stockholders, through stock repurchases and cash dividends, during the fourth quarter and fiscal 2026.

	Stock Repurchases		Dividend Paid		Total
(in millions, except per share data)	**Shares**	**Amount**	**Per Share**	**Amount**	**Amount**
Q4 Fiscal 2026	6	$1,011	$0.92	$987	$1,998
Fiscal 2026	48	$7,817	$3.62	$3,854	$11,671

Figure 14. Q4 segment results Source PDF page 2.

33. Source exhibit: GAAP nonGAAP reconciliation Source PDF page 9

Reconciliations of GAAP Results to Non-GAAP Results

(in millions, except per share data and percentages)	GAAP to Non-GAAP Reconciliation				
	GAAP Results	**Less QSI**	**Less Share-Based Compensation**	**Less Other Items[1, 2]**	**Non-GAAP Results**
Q4 Fiscal 2026					
Revenues	**$10,322**	$—	$—	($120)	$10,442
Operating income (loss)	**1,356**	(3)	(873)	(537)	2,769
EBT	**1,173**	(123)	(873)	(497)	2,666
EBT as % of revenues	**11%**				26%
Net income (loss)	**1,251**	(97)	(768)	(216)	2,332
Diluted EPS	**$1.17**	($0.09)	($0.72)	($0.20)	$2.17
Diluted shares	**1,073**	1,073	1,073	1,073	1,073
Q4 Fiscal 2025					
Revenues	**$11,270**	$—	$—	$—	$11,270
Operating income (loss)	**2,918**	(5)	(663)	(222)	3,808
EBT	**2,971**	2	(663)	(160)	3,792
EBT as % of revenues	**26%**				34%
Net (loss) income	**(3,117)**	1	(476)	(5,899)	3,257
Diluted EPS	**($2.89)**	$—	($0.44)	($5.45)	$3.00
Diluted shares[3]	**1,078**	1,085	1,085	1,085	1,085
Fiscal 2026					
Revenues	**$43,120**	$—	$—	($120)	$43,240
Operating income (loss)	**8,658**	(11)	(3,452)	(1,116)	13,237
EBT	**9,414**	794	(3,452)	(904)	12,976
EBT as % of revenues	**22%**				30%
Net income (loss)	**13,628**	638	(3,011)	4,690	11,311
Diluted EPS	**$12.70**	$0.59	($2.81)	$4.37	$10.54
Diluted shares	**1,073**	1,073	1,073	1,073	1,073
Fiscal 2025					
Revenues	**$44,284**	$—	$—	$143	$44,141
Operating income (loss)	**12,355**	(13)	(2,783)	(302)	15,453
EBT	**12,663**	180	(2,783)	(192)	15,458
EBT as % of revenues	**29%**				35%
Net income (loss)	**5,541**	142	(2,167)	(5,732)	13,298
Diluted EPS	**$5.01**	$0.13	($1.96)	($5.19)	$12.03
Diluted shares	**1,105**	1,105	1,105	1,105	1,105

(1) Further details of amounts included in the "Other Items" column for the current periods are included at the end of this news release in the table labeled "Supplemental Information and Reconciliations." Details of amounts included in the "Other Items" column for the prior periods are included in the news release for those periods.

(2) In the fourth quarter and fiscal 2026, other items excluded from Non-GAAP revenues included a payment to a customer resulting from a recent legal settlement.

(3) As a result of the net loss in our GAAP results in the fourth quarter of fiscal 2025, all of the common share equivalents issuable under our equity compensation plans had an anti-dilutive effect and were therefore excluded from the computation of GAAP diluted loss per share. Amounts in all other columns included such common share equivalents in the calculation of diluted earnings per share because we reported Non-GAAP net income.

Sums may not equal totals due to rounding

Figure 15. GAAP nonGAAP reconciliation Source PDF page 9.

34. Source exhibit: Q4 segment cost bridge Source PDF page 10

Q4 Fiscal 2026 Supplemental Information and Reconciliations					
(in millions)	GAAP Results	Less QSI	Less Share-Based Compensation	Less Other Items[1, 2]	Non-GAAP Results
Cost of revenues	**$5,084**	$—	$26	$90	$4,968
Research and development expenses	**2,684**	—	682	30	1,972
Selling, general and administrative expenses	**963**	3	165	62	733
Other	**235**	—	—	235	—
Interest expense	**170**	—	—	1	169
Investment and other (expense) income, net	**(13)**	(120)	—	41	66
Income tax (benefit) expense	**(78)**	(26)	(105)	(281)	334

(1) Other items excluded from Non-GAAP results included $235 million of restructuring and restructuring-related charges, $141 million of acquisition-related charges and $1 million of interest expense related to a fine imposed on us by the European Commission in 2019. Other items excluded from Non-GAAP results also included $41 million of losses driven by the revaluation of our deferred compensation plan liabilities, which increases operating expenses, offset by a corresponding $41 million of gains driven by the revaluation of the associated plan assets, which were included within investment and other (expense) income, net.

(2) Tax benefit in the "Other Items" column represents an adjustment to arrive at our fixed estimated Non-GAAP tax rate of 12.5% for the fourth quarter of fiscal 2026 and includes the benefit from foreign currency gains related to our Korean withholding tax receivable.

Sums may not equal totals due to rounding.

Fiscal 2026 Supplemental Information and Reconciliations					
(in millions)	GAAP Results	Less QSI	Less Share-Based Compensation	Less Other Items[1, 2]	Non-GAAP Results
Cost of revenues	**$20,222**	$—	$101	$287	$19,834
Research and development expenses	**10,207**	—	2,569	128	7,510
Selling, general and administrative expenses	**3,701**	11	782	249	2,659
Other	**332**	—	—	332	—
Interest expense	**689**	—	—	5	684
Investment and other income, net	**1,445**	805	—	217	423
Income tax (benefit) expense	**(4,214)**	156	(441)	(5,594)	1,665

(1) Other items excluded from Non-GAAP results included $435 million of acquisition-related charges (net of a $37 million gain on settlement of debt of an acquired company), $343 million of restructuring and restructuring-related charges, and $5 million of interest expense related to the 2019 EC fine. Other items excluded from Non-GAAP results also included $177 million of losses driven by the revaluation of our deferred compensation plan liabilities, which increases operating expenses, offset by a corresponding $176 million of gains driven by the revaluation of the associated plan assets, which were included within investment and other income, net.

(2) Tax benefit in the "Other Items" column represents an adjustment to arrive at our fixed estimated Non-GAAP tax rates of 13.5% in the first quarter and 12.5% in the remaining quarters of fiscal 2026, resulting in a blended full-year rate of approximately 13%. This adjustment is primarily related to a $5.7 billion income tax benefit from the release of a valuation allowance in the second quarter of fiscal 2026 as we now expect to realize our existing federal deferred tax assets, partially offset by the impact of the amortization of previously capitalized domestic research and development expenditures for U.S. federal income tax purposes (for which the initial benefit was previously excluded from our Non-GAAP results).

Sums may not equal totals due to rounding.

Figure 16. Q4 segment cost bridge Source PDF page 10.

35. Q1 fiscal 2027 guidance

Company guidance is $10.4-$11.2 billion of revenue, $9.0-$9.6 billion of QCT revenue and $1.3-$1.5 billion of QTL revenue. QCT EBT margin is 20-22%; QTL EBT margin is 72-76%. Non-GAAP operating expenses are approximately $2.8 billion, with non-GAAP EPS of $2.15-$2.35 and GAAP EPS of $1.03-$1.23.

The initial operating calibration reconciles product gross profit, company operating expenses, segment EBT, recurring finance costs and the guidance EPS perimeter. The selected baseline has $700 million of net data-center revenue. Management’s comments on a 48-50% gross-margin baseline have an ambiguous company-versus-QCT scope; the report identifies the chosen legacy-QCT allocation as a modeling assumption.

36. Fiscal Q1 2027 guidance and current model

Measure	Company guidance	Expected model
Revenue	10,400 to 11,200	10,850.000
QCT revenue	9,000 to 9,600	9,400.000
QTL revenue	1,300 to 1,500	1,400.000
Non-GAAP operating expenses	2,800	2,800.000
Non-GAAP OP	Segment and corporate allocation bridge	2,987.433
Normalized GAAP-style OP	Includes recurring SBC and amortization	1,650.531

37. Nonhandset company targets and model

USD millions and percentages as labeled. Model nonhandset includes automotive, IoT and newly separated DC. The FY2026 source base reported auto and IoT under the earlier QCT presentation; the company target comparison retains that stated baseline.

Measure	Company target or source base	Expected model
FY2027 nonhandset growth	More than 60%; FY2026 auto+IoT source base 13,136	63.545
FY2027 nonhandset share of QCT	More than 50%	51.562
FY2029 nonhandset revenue	40,000	38,490.364
FY2029 difference from goal	Model less 40,000	-1,509.636

38. Source exhibit: Q1 guidance Source PDF page 3

Business Outlook

The following statements are forward looking, and actual results may differ materially. The "Note Regarding Forward-Looking Statements" in this news release provides a description of certain risks that we face, and our most recent annual report on file with the Securities and Exchange Commission (SEC) provides a more complete description of our risks.

The semiconductor industry is experiencing a broad-based increase in input costs across wafer fabrication, assembly, test, advanced packaging, memory and other materials. As previously disclosed, we are taking actions to reflect the higher input costs in our product pricing. We anticipate the full benefit of these actions to be reflected in QCT gross margins in the second half of fiscal 2027.

The following table summarizes GAAP and Non-GAAP guidance based on the current outlook.

	Current Guidance Q1 FY27 Estimates[1]
Revenues	**$10.4B - $11.2B**
Supplemental Revenue Information	
QCT revenues[2]	$9.0B - $9.6B
QTL revenues	$1.3B - $1.5B
GAAP diluted EPS	**$1.03 - $1.23**
Less diluted EPS attributable to QSI	$—
Less diluted EPS attributable to share-based compensation	($0.99)
Less diluted EPS attributable to other items[3]	($0.13)
Non-GAAP diluted EPS	**$2.15 - $2.35**

(1) Our outlook does not include provisions for proposed tax law changes, future asset impairments or for pending legal matters, other than future legal amounts that are probable and estimable. Further, due to their nature, certain income and expense items, such as certain investments, derivative and foreign currency transaction gains or losses, cannot be accurately forecast. Accordingly, we only include such items in our financial outlook to the extent they are reasonably certain. Our outlook includes the impact of any pending business combinations to the extent they are expected to close in the upcoming quarter. Actual results may differ materially from the outlook.

(2) Guidance as of the first quarter of fiscal 2027 is inclusive of Data Center.

(3) Our guidance for diluted EPS attributable to other items for the first quarter of fiscal 2027 is primarily related to acquisition-related items.

Figure 17. Q1 guidance Source PDF page 3.

39. Revenue and physical production

The forecast follows calendar quarters, beginning in Q4 2026, which is Qualcomm fiscal Q1 2027. Each data-center product has a fixed reference price, a quarterly mix and a supplier-capacity ceiling. Legacy businesses use normalized output indices because the issuer does not disclose the necessary product-level units and selling prices.

Capacity is fixed independently of price and volume sensitivities. Deferred shipments can use available capacity once. HBC units, CPU units and connectivity units each retain their own capacity pool. The model does not convert headline memory-bandwidth metrics into chip shipments.

40. Physical data-center shipments

Physical counts are individual chips, accelerators or CPUs. Unit prices and fixed capacities are explicit analytical proxies. Legacy normalized indices are a separate unit system.

Quarter	Custom chips	Connectivity chips	HBC units	Meta CPU units	Additional CPU units
2026Q4	120,828.878	420,000.000	0.000	0.000	0.000
2027Q1	163,118.986	567,000.000	0.000	0.000	0.000
2027Q2	220,031.164	927,885.000	2,100.000	0.000	0.000
2027Q3	253,050.701	1,261,970.000	6,780.500	0.000	0.000
2027Q4	274,830.614	1,441,090.000	10,059.875	0.000	0.000
2028Q1	295,326.797	1,597,230.000	14,740.900	0.000	0.000
2028Q2	313,318.521	1,778,910.000	20,759.200	32,900.000	0.000
2028Q3	332,270.785	1,999,570.000	28,335.550	84,469.500	0.000
2028Q4	360,910.072	2,315,210.000	40,814.300	134,293.000	7,000.000
2029Q1	403,417.874	2,631,310.000	48,691.050	162,303.500	15,365.625
2029Q2	450,048.480	2,945,390.000	55,025.250	183,417.500	23,871.250
2029Q3	514,601.562	3,369,230.000	62,972.250	209,907.500	32,376.875
2029Q4	554,627.397	3,632,030.000	67,899.750	226,332.500	40,882.500
2030Q1	586,699.849	3,842,610.000	71,848.125	239,493.750	56,388.125
2030Q2	616,384.154	4,037,510.000	75,502.500	251,675.000	66,259.375
2030Q3	646,068.458	4,232,410.000	79,156.875	263,856.250	81,905.000
2030Q4	675,752.763	4,427,310.000	82,811.250	276,037.500	84,776.250

41. Manufacturing and support costs

Initial full product costs reconcile to the guidance-calibrated gross profit. Cash variable manufacturing costs, fixed manufacturing costs and tangible depreciation are separated. Future reference unit-cost arrays implement the selected margin envelope and remain fixed when a selling-price sensitivity runs.

The data-center full-margin assumptions reach their fiscal 2029 Q1 anchors and then hold. The common data-center fixed-cost and depreciation pool is allocated across reference gross product invoices, including the additional CPU case. Company depreciation is charged once.

Delayed incremental data-center batches require a 20% material commitment at original cost. Delivery releases the original held cost, purchases the remaining required material and charges the current delivery-period cost. A canceled commitment writes down after four quarters. In the first mobile-pressure quarter, unused material stays in inventory and is reused FIFO within the same product from the next quarter.

42. Manufacturing expense

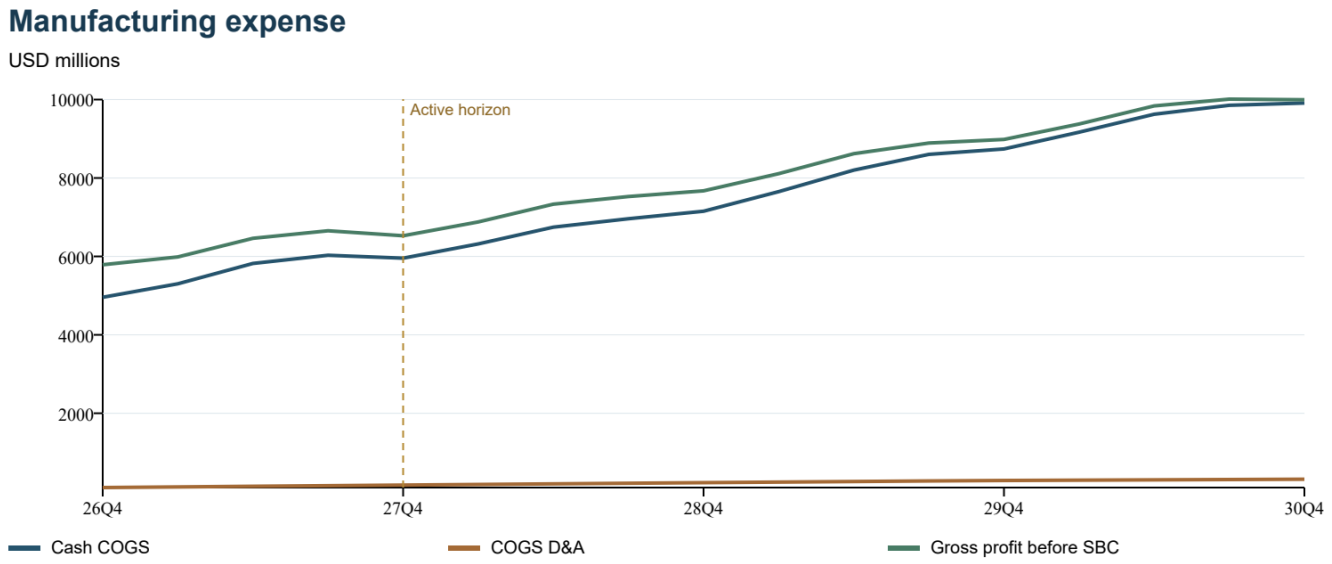


Figure 18. Manufacturing expense. USD millions. Exact values appear below.

Quarter	Cash COGS	COGS D&A	Gross profit before SBC
2026Q4	4,957.567	105.000	5,787.433
2027Q1	5,301.516	120.920	5,986.814
2027Q2	5,820.602	137.429	6,461.569
2027Q3	6,029.391	152.906	6,653.698
2027Q4	5,955.026	168.389	6,526.988
2028Q1	6,318.696	183.878	6,879.103
2028Q2	6,745.941	199.372	7,332.323
2028Q3	6,960.830	214.871	7,527.154
2028Q4	7,152.386	230.005	7,672.454
2029Q1	7,651.692	244.682	8,110.123
2029Q2	8,200.532	259.271	8,619.720
2029Q3	8,602.703	273.865	8,891.244
2029Q4	8,740.698	285.541	8,983.035
2030Q1	9,167.750	293.649	9,376.597
2030Q2	9,626.055	301.439	9,838.515
2030Q3	9,854.364	309.560	10,011.353
2030Q4	9,911.649	317.687	9,995.289

43. Paid commitments and inventory

Quarter	New commitment cash	Released cost	Writeoffs	Closing committed inventory
2026Q4	0.000	0.000	0.000	0.000
2027Q1	54.296	0.000	0.000	54.296
2027Q2	29.671	50.759	0.000	33.208
2027Q3	38.108	24.041	0.000	47.275
2027Q4	43.319	33.294	0.000	57.300
2028Q1	50.102	38.664	1.107	67.632
2028Q2	58.023	44.577	2.522	78.555
2028Q3	67.443	51.612	3.239	91.146
2028Q4	82.126	59.952	3.682	109.638
2029Q1	96.915	72.422	4.259	129.873
2029Q2	111.732	85.938	4.932	150.736
2029Q3	133.979	99.493	5.733	179.489
2029Q4	143.299	118.465	6.978	197.346
2030Q1	152.842	129.409	8.232	212.547
2030Q2	162.205	138.120	9.489	227.143
2030Q3	171.751	146.708	11.377	240.808
2030Q4	180.931	155.430	12.166	254.144

44. R&D and corporate expense

The company expense budget includes ongoing engineering, software and platform investment. Additional support is charged only for activity outside that reference scope. Existing data-center support is 1.5% of delivered existing-family revenue above $700 million; delayed cases retain half of support tied to missed planned increments. The extra CPU customer has a separate 15% support rate.

The selected operating-profit measure includes recurring employee compensation and ordinary acquisition amortization. A change in segment presentation moves the reporting allocation and leaves consolidated costs unchanged. Future restructuring and litigation costs enter only through explicitly selected cases.

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

45. Recurring cash expense and tangible depreciation

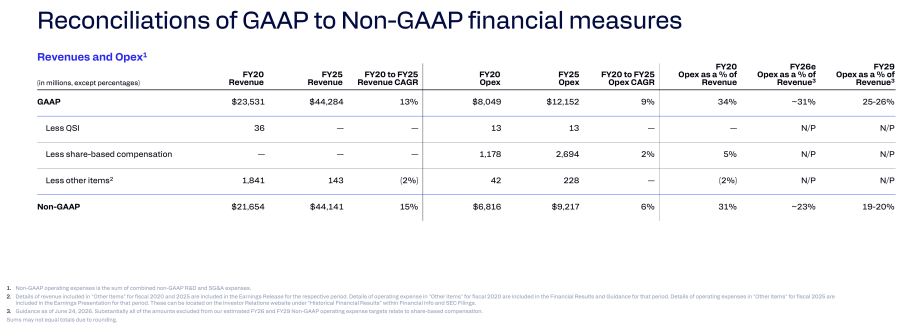
Quarter	Cash R&D	Cash SG&A	Extra support	Opex tangible D&A
2026Q4	1,888.000	717.000	0.000	195.000
2027Q1	1,935.200	725.962	0.175	224.566
2027Q2	1,983.580	735.037	6.180	255.225
2027Q3	2,033.169	744.225	10.475	283.969
2027Q4	2,083.999	753.528	13.218	312.723
2028Q1	2,121.511	762.947	16.178	341.487
2028Q2	2,159.698	772.484	19.455	370.262
2028Q3	2,198.572	782.140	24.081	399.046
2028Q4	2,238.147	791.917	33.996	427.153
2029Q1	2,278.433	801.815	41.163	454.409
2029Q2	2,319.445	811.838	48.239	481.503
2029Q3	2,361.195	821.986	57.996	508.607
2029Q4	2,403.697	832.261	66.118	530.291
2030Q1	2,446.963	842.664	72.299	545.347
2030Q2	2,491.009	853.198	77.441	559.815
2030Q3	2,535.847	863.863	83.494	574.898
2030Q4	2,581.492	874.661	87.099	589.990

46. Full normalization bridge

Normalized opex includes cash R&D, cash SG&A, extra support, 65% of tangible D&A, SBC, ordinary amortization and cash retention. Gross profit already includes the other 35% of tangible D&A.

Quarter	Gross profit before SBC	SBC	Ordinary amortization	Cash retention	Normalized opex	Normalized OP
2026Q4	5,787.433	1,218.152	118.750	0.000	4,136.902	1,650.531
2027Q1	5,986.814	1,217.283	118.750	0.000	4,221.936	1,764.878
2027Q2	6,461.569	1,217.717	118.750	0.000	4,316.490	2,145.080
2027Q3	6,653.698	1,218.152	118.750	0.000	4,408.741	2,244.957
2027Q4	6,526.988	1,176.621	114.250	335.215	4,789.553	1,737.434
2028Q1	6,879.103	1,176.186	114.250	335.215	4,867.774	2,011.329
2028Q2	7,332.323	1,176.186	114.250	335.215	4,947.549	2,384.773
2028Q3	7,527.154	960.831	114.250	335.215	4,814.135	2,713.018
2028Q4	7,672.454	866.986	101.500	399.059	4,858.757	2,813.697
2029Q1	8,110.123	866.117	101.500	399.059	4,942.497	3,167.626
2029Q2	8,619.720	866.551	101.500	399.059	5,028.135	3,591.584
2029Q3	8,891.244	866.986	101.500	399.059	5,117.330	3,773.914
2029Q4	8,983.035	570.495	82.250	692.742	5,177.853	3,805.182
2030Q1	9,376.597	554.384	82.250	692.742	5,236.651	4,139.947
2030Q2	9,838.515	554.618	82.250	692.742	5,311.073	4,527.442
2030Q3	10,011.353	539.637	82.250	692.742	5,372.730	4,638.623
2030Q4	9,995.289	239.633	34.500	986.425	5,393.801	4,601.488

47. Source exhibit: Issuer fiscal 2029 operating-expense framework, showing the role of share-based compensation in the GAAP reconciliation



Reconciliations of GAAP to Non-GAAP financial measures

Revenues and Opex[1]

(in millions, except percentages)	FY20 Revenue	FY25 Revenue	FY20 to FY25 Revenue CAGR	FY20 Opex	FY25 Opex	FY20 to FY25 Opex CAGR	FY20 Opex as a % of Revenue	FY26e Opex as a % of Revenue[3]	FY29 Opex as a % of Revenue[3]
GAAP	$23,531	$44,284	13%	$8,049	$12,152	9%	34%	~31%	25-26%
Less QSI	36	—	—	13	13	—	—	N/P	N/P
Less share-based compensation	—	—	—	1,178	2,694	2%	5%	N/P	N/P
Less other items[2]	1,841	143	(2%)	42	228	—	(2%)	N/P	N/P
Non-GAAP	$21,654	$44,141	15%	$6,816	$9,217	6%	31%	~23%	19-20%

1. Non-GAAP operating expenses is the sum of combined non-GAAP R&D and SG&A expenses.
2. Details of revenue included in "Other items" for fiscal 2020 and 2025 are included in the Earnings Release for the respective period. Details of operating expense in "Other items" for fiscal 2020 are included in the Financial Results and Guidance for that period. Details of operating expenses in "Other items" for fiscal 2025 are included in the Earnings Presentation for that period. These can be located on the Investor Relations website under "Historical Financial Results" within Financial Info and SEC Filings.
3. Guidance as of June 24, 2026. Substantially all of the amounts excluded from our estimated FY26 and FY29 Non-GAAP operating expense targets relate to share-based compensation.

Sums may not equal totals due to rounding.

Figure 19. Issuer fiscal 2029 operating-expense framework, showing the role of share-based compensation in the GAAP reconciliation.

48. Stock compensation

The September filing reports approximately 30 million service-based RSUs outstanding and $4.1 billion of unrecognized compensation cost over a weighted-average 1.9 years. The forecast uses a finite opening award pool and dated future grants, deriving expense, forfeitures, vesting, withholding cash and diluted equivalents from the same cohort schedule.

Alphawave and Modular have $293 million and $342 million of disclosed post-combination employee service cost over four years. Their four million exchangeable shares and four million restricted common shares are already issued in opening common equity. The expense cohorts add no second issuance of those shares.

The disclosure does not fully allocate the current compensation run rate by grant. An explicitly estimated residual expense cohort expires after its selected service period and converts to cash retention compensation. The assumption receives overlap, payout and service-period sensitivities where supported by the completed model.

49. Finite employee and acquisition expense

Quarter	Total SBC	Unissued employee SBC	Issued acquisition SBC	Gross vesting	TSM equivalents	Cash retention
2026Q4	1,218.152	1,168.372	39.986	3.887	7.278	0.000
2027Q1	1,217.283	1,168.372	39.117	3.827	10.197	0.000
2027Q2	1,217.717	1,168.372	39.552	3.768	13.175	0.000
2027Q3	1,218.152	1,168.372	39.986	11.453	8.468	0.000
2027Q4	1,176.621	1,126.840	39.986	10.860	4.114	335.215
2028Q1	1,176.186	1,126.840	39.552	3.597	7.023	335.215
2028Q2	1,176.186	1,126.840	39.552	3.542	9.987	335.215
2028Q3	960.831	911.051	39.986	2.106	13.142	335.215
2028Q4	866.986	817.206	39.986	13.981	3.880	399.059
2029Q1	866.117	817.206	39.117	0.000	8.598	399.059
2029Q2	866.551	817.206	39.552	0.000	13.317	399.059
2029Q3	866.986	817.206	39.986	0.000	18.035	399.059
2029Q4	570.495	523.522	37.179	18.782	2.276	692.742
2030Q1	554.384	523.522	21.068	0.000	5.299	692.742
2030Q2	554.618	523.522	21.302	0.000	8.322	692.742
2030Q3	539.637	523.522	6.320	0.000	11.345	692.742
2030Q4	239.633	229.839	0.000	11.669	1.002	986.425

50. Incentive-plan availability

Quarter	Supported grants	Unsupported grants	Remaining reserve
2026Q4	23.000	0.000	41.000
2027Q1	0.000	0.000	41.000
2027Q2	0.000	0.000	41.000
2027Q3	0.000	0.000	41.000
2027Q4	23.000	0.000	18.000
2028Q1	0.000	0.000	18.000
2028Q2	0.000	0.000	18.000
2028Q3	0.000	0.000	18.000
2028Q4	18.000	5.000	0.000
2029Q1	0.000	0.000	0.000
2029Q2	0.000	0.000	0.000
2029Q3	0.000	0.000	0.000
2029Q4	0.000	23.000	0.000
2030Q1	0.000	0.000	0.000
2030Q2	0.000	0.000	0.000
2030Q3	0.000	0.000	0.000
2030Q4	0.000	23.000	0.000

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

51. Source exhibit: employee awards Source PDF page 74

QUALCOMM Incorporated
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Note 5. Employee Benefit Plans

Equity Compensation Plans. On March 17, 2026, our stockholders approved the Amended and Restated Qualcomm Incorporated 2023 Long-Term Incentive Plan (the 2023 Plan), including an increase in the share reserve by 24 million shares. The 2023 Plan provides for the grant of RSUs and other stock-based awards. The RSUs generally include dividend-equivalent rights and vest over three years from the date of grant. The Board of Directors may amend or terminate the 2023 Plan at any time. Certain amendments, including an increase in the share reserve, require stockholder approval. At September 27, 2026, approximately 64 million shares were available for future grant under the 2023 Plan.

The following is a summary of employee RSU transactions that contain only service requirements to vest:

	Number of Shares (in millions)	Weighted-Average Grant Date Fair Value
RSUs outstanding at September 28, 2025	28	$ 151.75
RSUs granted	23	176.02
RSUs assumed in acquisition	1	169.56
RSUs canceled/forfeited	(3)	165.88
RSUs vested	(19)	152.52
RSUs outstanding at September 27, 2026	30	169.02

The weighted-average estimated grant date fair values of employee RSUs that contain only service requirements to vest granted during fiscal 2025 and 2024 were $163.17 and $134.31 per share, respectively. Upon vesting, we issue new shares of common stock. For the majority of RSUs, shares are issued on the vesting dates net of the amount of shares needed to satisfy statutory tax withholding requirements to be paid by us on behalf of the employees. As a result, the actual number of shares issued will be fewer than the number of RSUs outstanding. The annual pre-vest forfeiture rate for RSUs was estimated to be approximately 6% in fiscal 2026, 2025 and 2024.

At September 27, 2026, total unrecognized compensation expense related to such non-vested RSUs granted prior to that date was $4.1 billion, which is expected to be recognized over a weighted-average period of 1.9 years. The total vest-date fair value of such RSUs that vested during fiscal 2026, 2025 and 2024 was $3.3 billion, $3.3 billion and $4.0 billion, respectively. The total shares withheld to satisfy statutory tax withholding requirements related to all share-based awards were 7 million, 7 million and 6 million in fiscal 2026, 2025 and 2024, respectively, and were based on the value of the awards on their vesting dates as determined by our closing stock price.

The total tax benefits realized, including the excess tax benefits, related to share-based awards during fiscal 2026, 2025 and 2024 were $698 million, $683 million and $840 million, respectively.

Employee Stock Purchase Plan. We have an employee stock purchase plan that allows eligible employees to purchase shares of common stock at 85% of the value of our common stock on specific dates through periodic payroll deductions. The shares reserved for future issuance under the employee stock purchase plan were 10 million at September 27, 2026. We recorded cash received from the exercise of purchase rights of $222 million, $402 million and $379 million during fiscal 2026, 2025 and 2024, respectively.

Share-based Compensation Expense. Total share-based compensation expense, related to all of our share-based awards, was comprised as follows (in millions):

	2026	2025	2024
Cost of revenues	$ 101	$ 89	$ 89
Research and development	2,569	2,141	2,024
Selling, general and administrative	782	553	535
Share-based compensation expense before income taxes	3,452	2,783	2,648
Related income tax benefit	(441)	(616)	(662)
	$ 3,011	$ 2,167	$ 1,986

Figure 20. employee awards Source PDF page 74.

52. Source exhibit: acquisition service cost Source PDF page 80

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The allocation of the purchase price to the assets acquired and liabilities assumed based on their fair values was as follows (in millions):

Cash	$	51
Intangible assets subject to amortization		251
In-process research and development (IPR&D)		120
Goodwill		2,136
Other assets		288
Total assets		2,846
Convertible debt (1)		(278)
Other liabilities		(294)
Total liabilities		(572)
Net assets acquired	$	2,274

(1) Alphawave's outstanding unsecured convertible bonds were settled in the second quarter of fiscal 2026.

Goodwill related to this transaction was allocated to our Data Center nonreportable segment and is not deductible for tax purposes. Goodwill is primarily attributable to assembled workforce which we expect will help accelerate our expansion into data centers, and certain revenue synergies expected to arise after the acquisition such as anticipated growth from new product sales. Acquired intangible assets subject to amortization primarily consists of completed technology that will be amortized on a straight-line basis over the weighted-average useful life of five years. We valued the completed technology and IPR&D using an income approach based on significant unobservable inputs.

Modular. On July 28, 2026 (the Modular Closing Date), we completed the acquisition of Modular Inc (Modular). Total consideration transferred primarily consisted of 18 million shares issued of our common stock. This included 4 million shares that were issued to certain executives and are subject to a four-year service requirement post-acquisition, of which $342 million will be recognized as compensation expense and $325 million is included within the $2.6 billion accounting purchase price. Modular provides an open, AI-native software platform that enables AI to run efficiently across hardware architectures. The acquisition of Modular is expected to strengthen the software foundation for generative and agentic AI across data center and edge environments.

The preliminary purchase price allocation shown below could change as the fair values of the tangible and intangible assets acquired and liabilities assumed, and the related income tax effects, are finalized during the remainder of the measurement period (which will not exceed 12 months from the Modular Closing Date). The preliminary allocation of the purchase price to the assets acquired and liabilities assumed based on their fair values was as follows (in millions):

Cash and cash equivalents	$	77
Intangible assets subject to amortization		501
Goodwill		2,140
Other assets		7
Total assets		2,725
Other liabilities		(110)
Total liabilities		(110)
Net assets acquired	$	2,615

Goodwill is primarily attributable to revenue synergies expected to be realized from integrating Modular's software into our data center solutions, and intended to further accelerate our expansion into data centers. As these benefits are expected to be realized within our Data Center business, the related goodwill has been allocated to our Data Center nonreportable segment. The goodwill is not deductible for tax purposes. Acquired intangible assets subject to amortization primarily consists of completed technology that will be amortized on a straight-line basis over the weighted-average useful life of four years. We valued the completed technology using an income approach based on significant unobservable inputs.

Other. During fiscal 2026, we acquired eight other businesses for a total accounting purchase price of $1.1 billion. These acquisitions were primarily for the purpose of executing on certain products and technology that support our QCT business, including our diversification strategy. The acquired assets primarily consisted of $313 million of intangible assets and $767 million of goodwill, with $694 million allocated to our QCT segment and $73 million allocated to our Data Center nonreportable segment, all of which is primarily attributable to assembled workforce and certain synergies expected to arise after the acquisitions.

Pro forma results of operations have not been presented because the effects of the acquisitions (including Alphawave and Modular) completed during fiscal 2026, individually and in the aggregate, were not material to our consolidated results of operations.

Figure 21. acquisition service cost Source PDF page 80.

53. Amazon warrant consideration

The Amazon warrant covers up to 25 million shares, with a disclosed grant-date fair value of $71.57 per share, a $161.26 exercise price and a ten-year term. Its $1.78925 billion aggregate fair value is recognized as a reduction of related revenue as the qualifying sales occur. Four million warrant shares vested at issuance.

The model reserves all 25 million shares and assumes no exercise proceeds. Customer eligibility is an explicit proxy: Amazon represents half of net custom-silicon revenue. The exact gross-to-net inverse determines eligible gross invoices and the noncash revenue reduction, capped by the remaining fair-value pool. The same calculation applies after delayed deliveries.

54. Customer-warrant gross-to-net bridge

Quarter	Gross DC revenue	Warrant contra	Net DC revenue	Remaining fair value
2026Q4	709.144	9.144	700.000	1,780.106
2027Q1	957.345	12.345	945.000	1,767.761
2027Q2	1,353.127	16.652	1,336.475	1,751.109
2027Q3	1,648.551	19.151	1,629.400	1,731.958
2027Q4	1,835.024	20.799	1,814.225	1,711.158
2028Q1	2,023.350	22.350	2,001.000	1,688.808
2028Q2	2,251.812	23.712	2,228.100	1,665.096
2028Q3	2,529.071	25.146	2,503.925	1,639.949
2028Q4	2,932.789	27.314	2,905.475	1,612.635
2029Q1	3,339.496	30.531	3,308.966	1,582.105
2029Q2	3,744.131	34.060	3,710.071	1,548.045
2029Q3	4,287.322	38.945	4,248.377	1,509.099
2029Q4	4,627.357	41.974	4,585.383	1,467.125
2030Q1	4,908.515	44.402	4,864.113	1,422.723
2030Q2	5,164.258	46.648	5,117.609	1,376.075
2030Q3	5,425.775	48.895	5,376.880	1,327.180
2030Q4	5,674.518	51.141	5,623.376	1,276.039

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

55. Source exhibit: warrant equity terms Source PDF page 73

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A summary of the changes in the amount of unrecognized tax benefits for fiscal 2026, 2025 and 2024 follows (in millions):

	2026	2025	2024
Beginning balance of unrecognized tax benefits	$ 2,668	$ 2,450	$ 2,296
Additions based on prior year tax positions	145	158	2
Reductions for prior year tax positions and lapse in statute of limitations	—	(93)	(1)
Additions for current year tax positions	180	153	153
Ending balance of unrecognized tax benefits	$ 2,993	$ 2,668	$ 2,450

Of the $3.0 billion of unrecognized tax benefits at September 27, 2026, $2.6 billion has been recorded to other liabilities. Unrecognized tax benefits at September 27, 2026 included $186 million for tax positions that, if recognized, would impact the effective tax rate. The unrecognized tax benefits differ from the amount that would affect our effective tax rate primarily because the unrecognized tax benefits were included on a gross basis and did not reflect related receivables or secondary impacts, such as adjustments to the federal foreign tax credit that might be required if our tax positions are sustained. The increase in unrecognized tax benefits for current year tax positions for the periods presented was primarily due to expected refunds of Korean withholding tax previously paid (which such increase had an insignificant impact to our income tax provision). If successful, the refund will result in a corresponding reduction in U.S. foreign tax credits. At September 27, 2026, total interest and penalties related to unrecognized tax benefits accrued in other current liabilities and other liabilities was $501 million, with a corresponding noncurrent income taxes receivable of $372 million recorded in other assets for expected refunds of certain tax benefits.

We file income tax returns in the U.S. federal jurisdiction and various state and foreign jurisdictions. We are no longer subject to U.S. federal income tax examinations for years prior to fiscal 2018. We are also subject to examination in other taxing jurisdictions in the U.S. and numerous foreign jurisdictions. These examinations are at various stages with respect to assessments, claims, deficiencies and refunds, many of which are open for periods after fiscal 2001.

Note 4. Capital Stock

Stock Repurchase Program. During the fourth quarter of fiscal 2026, we utilized the remaining repurchase authority under the $15.0 billion stock repurchase program announced on November 6, 2024 and we began repurchases under the $20.0 billion stock repurchase program announced on March 17, 2026, which has no expiration date. At September 27, 2026, $19.6 billion remained authorized for repurchase under our stock repurchase program.

Shares Outstanding. Shares of common stock outstanding at September 27, 2026 were as follows (in millions):

Balance at September 28, 2025	1,074
Issued	46
Repurchased	(48)
Balance at September 27, 2026	1,072

Customer Warrant. In September 2026, we issued a warrant to an affiliate of Amazon Data Services, Inc. to acquire up to an aggregate of 25 million shares (Warrant Shares) of our common stock at an exercise price of $161.26 per share. The warrant has an exercise term and vesting term of ten years. The Warrant Shares vest in tranches tied to the execution of certain commercial arrangements, the placement of binding purchase orders and actual customer purchase milestones (up to a maximum amount of $60 billion in payments), and are recorded as a reduction to revenues as the related revenues are recognized during the vesting term. The grant date fair value of the warrant was determined to be $71.57 per share and a total fair value of $1.8 billion using the Black-Scholes option pricing model. As of September 27, 2026, 25 million Warrant Shares were outstanding and unexercised, of which approximately 4 million had vested upon issuance of the warrant based on initial purchase commitments.

The following is a summary of assumptions used to calculate the fair value of the Warrant Shares on the date of issuance using the Black-Scholes option pricing model:

Expected volatility	38.0%
Expected term (in years)	10
Risk-free interest rate	4.7%
Expected dividend yield	2.2%

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Figure 22. warrant equity terms Source PDF page 73.

56. Assets and depreciation

Opening property, plant and equipment is $6.104 billion, including $224 million of construction in progress. Finite legacy depreciation, new asset commissioning and capex determine each future quarter. The $1.925 billion opening intangible balance includes in-process R&D; the disclosed amortization schedule already covers the full balance.

Operating lease expense, lease cash payments, right-of-use asset amortization and the lease liability have separate schedules. This allows the forecast to convert the included expense to cash once. The opening liability is $880 million and the opening right-of-use asset is $776 million.

57. Capital assets

Quarter	Cash capex	Closing PPE	Tangible D&A	Closing intangibles	Amortization
2026Q4	875.000	6,679.000	300.000	1,806.250	118.750
2027Q1	875.000	7,208.514	345.486	1,687.500	118.750
2027Q2	875.000	7,690.860	392.654	1,568.750	118.750
2027Q3	875.000	8,128.984	436.876	1,450.000	118.750
2027Q4	875.000	8,522.872	481.113	1,335.750	114.250
2028Q1	875.000	8,872.506	525.365	1,221.500	114.250
2028Q2	875.000	9,177.873	569.634	1,107.250	114.250
2028Q3	875.000	9,438.955	613.917	993.000	114.250
2028Q4	825.000	9,606.798	657.158	891.500	101.500
2029Q1	825.000	9,732.707	699.091	790.000	101.500
2029Q2	825.000	9,816.933	740.774	688.500	101.500
2029Q3	825.000	9,859.460	782.473	587.000	101.500
2029Q4	750.000	9,793.629	815.832	504.750	82.250
2030Q1	750.000	9,704.633	838.996	422.500	82.250
2030Q2	750.000	9,593.379	861.253	340.250	82.250
2030Q3	750.000	9,458.921	884.458	258.000	82.250
2030Q4	750.000	9,301.244	907.678	223.500	34.500

58. Operating lease conversion

Quarter	Included expense	Cash payments	Closing ROU asset	Closing liability
2026Q4	51.000	40.500	733.641	848.141
2027Q1	51.000	40.500	690.961	815.961
2027Q2	51.000	40.500	647.958	783.458
2027Q3	51.000	40.500	604.629	750.629
2027Q4	51.000	39.250	560.976	718.726
2028Q1	51.000	39.250	517.002	686.502
2028Q2	51.000	39.250	472.704	653.954
2028Q3	51.000	39.250	428.079	621.079
2028Q4	51.000	37.250	383.134	589.884
2029Q1	51.000	37.250	337.875	558.375
2029Q2	51.000	37.250	292.300	526.550
2029Q3	51.000	37.250	246.405	494.405
2029Q4	51.000	34.500	200.200	464.700
2030Q1	51.000	34.500	153.697	434.697
2030Q2	51.000	34.500	106.893	404.393
2030Q3	51.000	34.500	59.783	373.783
2030Q4	51.000	29.000	12.394	348.394

59. Source exhibit: leases Source PDF page 64

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Operating Leases. Operating lease assets and liabilities are recognized for leases with lease terms greater than 12 months based on the present value of the future lease payments over the lease term at the commencement date. Operating leases are included in other assets, other current liabilities and other liabilities on our consolidated balance sheet. Our lease terms include options to extend or terminate the lease when it is reasonably certain that we will exercise such option. We account for substantially all lease and related non-lease components together as a single lease component. Operating lease expense is recognized on a straight-line basis over the lease term.

Goodwill and Other Intangible Assets. Goodwill represents the excess of purchase price over the value assigned to the net tangible and identifiable intangible assets of businesses acquired. Acquired intangible assets other than goodwill are amortized over their useful lives unless the lives are determined to be indefinite. For intangible assets purchased in a business combination, the estimated fair values of the assets acquired are used to establish their recorded values. Valuation techniques consistent with the market approach, income approach and/or cost approach are used to measure fair value. An estimate of fair value can be affected by many assumptions that require significant judgment. For example, the income approach generally requires us to use assumptions to estimate the present value of future cash flows, including those related to total addressable market, pricing and share forecasts, competition, technology obsolescence, future tax rates and discount rates. Our estimate of the fair value of certain assets may differ materially from that determined by others who use different assumptions or utilize different business models and from the future cash flows actually realized.

Impairment of Goodwill, Other Indefinite-Lived Assets and Long-Lived Assets. Goodwill and other indefinite-lived intangible assets are tested annually for impairment in the fourth fiscal quarter, and in interim periods if events or changes in circumstances indicate that the assets may be impaired. If a qualitative assessment is used and we determine that the fair value of a reporting unit or indefinite-lived intangible asset is more likely than not (i.e., a likelihood of more than 50%) less than its carrying amount, a quantitative impairment test will be performed. If goodwill is quantitatively assessed for impairment and a reporting unit's carrying value exceeds its fair value, the difference is recorded as an impairment. Other indefinite-lived intangible assets are quantitatively assessed for impairment, if necessary, by comparing their estimated fair values to their carrying values. If the carrying value exceeds the fair value, the difference is recorded as an impairment. Our judgments regarding the existence of impairment indicators and future cash flows related to goodwill, other indefinite-lived assets and long-lived assets may be based on operational performance of our businesses, market conditions, expected selling price and/or other factors. Although there are inherent uncertainties in this assessment process, the estimates and assumptions we use, including estimates of future cash flows and discount rates, are consistent with our internal planning, when appropriate. If these estimates or their related assumptions change in the future, we may be required to record an impairment charge on a portion or all of such assets. Furthermore, we cannot predict the occurrence of future impairment-triggering events nor the impact such events might have on our reported asset values.

Long-lived assets, such as property, plant and equipment and intangible assets subject to amortization, are reviewed for impairment when there is evidence that events or changes in circumstances indicate that the carrying amount of an asset or asset group may not be recoverable. Recoverability of assets to be held and used is measured by comparing the carrying amount of an asset or asset group to estimated undiscounted future cash flows expected to be generated by the asset or asset group. If the carrying amount of an asset or asset group exceeds its estimated future cash flows, an impairment charge is recognized for the amount by which the carrying amount of the asset or asset group exceeds the estimated fair value of the asset or asset group. Long-lived assets to be disposed of by sale are reported at the lower of their carrying amounts or their estimated fair values less costs to sell and are not depreciated.

Revenue Recognition. We derive revenues principally from sales of integrated circuit products and licensing of our intellectual property. We also generate revenues from licensing system software and by performing development and other services and from other product sales. The timing of revenue recognition and the amount of revenue actually recognized in each case depends upon a variety of factors, including the specific terms of each arrangement and the nature of our performance obligations.

Revenues from sales of our products are recognized upon transfer of control to the customer, which is generally at the time of shipment. Revenues from providing services are typically recognized over time as our performance obligation is satisfied. Revenues from providing services and licensing system software were each less than 5% of total revenues for all periods presented.

We grant licenses or otherwise provide rights to use portions of our intellectual property portfolio, which, among other rights, includes certain patent rights essential to and/or useful in the manufacture, sale or use of certain wireless products. License agreements contain a single performance obligation that represents ongoing access to a portfolio of intellectual property over the license term since such agreements provide the licensee the right to access a portfolio of intellectual property that exists at inception of the license agreement and to updates and new intellectual property that is added to the licensed portfolio during the term of the agreement that are highly interdependent or interrelated.

Licensees primarily pay per-unit royalties based on their sales of products incorporating or using our licensed intellectual property. Per-unit royalties are generally based upon a percentage of the wholesale (i.e., licensee's) selling price of complete licensed products, net of certain permissible deductions (including transportation, insurance, packing costs and other items), with certain products subject to per unit minimums and/or per unit caps. Certain products may also have a fixed royalty amount per unit. We estimate and recognize sales-based royalties on such licensed products in the period in which the associated sales occur, considering all relevant information (historical, current and forecasted) that is reasonably available to us. Our estimates of sales-based royalties are based largely on preliminary royalty estimates provided by our licensees and, to

Figure 23. leases Source PDF page 64.

60. Source exhibit: lease payment schedule Source PDF page 77

investigations. We have not recorded any accrual at September 27, 2026 for contingent losses associated with the matters described above based on our belief that losses, while reasonably possible, are not probable. Further, any possible amount or range of loss cannot be reasonably estimated at this time. The unfavorable resolution of one or more of these matters could have a material adverse effect on our business, results of operations, financial condition or cash flows. We are engaged in numerous other legal actions not described above (including matters arising in the ordinary course of our business, such as those relating to employment matters or the initiation or defense of proceedings relating to intellectual property rights, among others) and, while there can be no assurance, we believe that the ultimate outcome of these other legal actions will not have a material adverse effect on our business, results of operations, financial condition or cash flows.

Indemnifications. We generally do not indemnify our customers, licensees and suppliers for losses sustained from infringement of third-party intellectual property rights. However, we are contingently liable under certain agreements to defend and/or indemnify certain customers, licensees, and suppliers against certain types of liability and/or damages arising from the infringement of third-party intellectual property rights and to indemnify certain companies that purchased businesses we previously consolidated against certain contingent losses. Our obligations under these agreements may be limited in terms of time and/or amounts, and in some instances, we may have recourse against third parties for certain payments made by us. Claims and reimbursements under indemnification arrangements have not been material to our consolidated financial statements. We have not recorded accruals for certain claims under indemnification arrangements based on our belief that additional liabilities, while possible, are not probable. Further, any possible range of loss cannot be reasonably estimated at this time.

Purchase Obligations. We have agreements with suppliers and other parties to purchase inventory, other goods and services and long-lived assets. Such agreements include multi-year capacity purchase commitments with certain suppliers of our integrated circuit products. Total advance payments related to multi-year capacity purchase commitments recorded on the consolidated balance sheets at September 27, 2026 and September 28, 2025 were $750 million and $1.9 billion, respectively, of which $169 million and $1.5 billion were recorded in other current assets, respectively, and $581 million and $357 million were recorded in other assets, respectively. Integrated circuit product inventory obligations represent purchase commitments (including those under multi-year capacity purchase commitments to the extent such minimum amounts are both fixed and determinable) for raw materials, semiconductor die, finished goods and manufacturing services, such as wafer bump, probe, assembly and final test. Under our manufacturing relationships with our foundry suppliers and assembly and test service providers, cancellation of outstanding purchase commitments is generally allowed but would require payment of costs incurred through the date of cancellation. Also, in some cases, we may be subject to incremental fees and/or the loss of amounts paid in advance due to capacity underutilization and/or the failure to meet minimum purchase volumes under multi-year capacity purchase commitments. Obligations under our purchase agreements, which primarily relate to integrated circuit product inventory obligations, at September 27, 2026 totaled $18.6 billion of which, $13.8 billion is expected to be paid in the next 12 months.

Operating Leases. We lease certain of our land, facilities and equipment under operating leases, with terms ranging from less than one year to 20 years, some of which include options to extend for up to 20 years. At September 27, 2026 and September 28, 2025, the weighted-average remaining lease term for operating leases was eight years. Operating lease expense was $204 million for fiscal 2026 and $184 million for both fiscal 2025 and fiscal 2024. At September 27, 2026, other assets included $776 million of operating lease assets, with corresponding lease liabilities of $121 million recorded in other current liabilities and $759 million recorded in other liabilities. At September 28, 2025, other assets included $735 million of operating lease assets, with corresponding lease liabilities of $102 million recorded in other current liabilities and $730 million recorded in other liabilities.

At September 27, 2026, future lease payments under our operating leases were as follows (in millions):

2027	$	162
2028		157
2029		149
2030		138
2031		116
Thereafter		395
Total future lease payments		1,117
Imputed interest		(237)
Total lease liability balance	$	880

Figure 24. lease payment schedule Source PDF page 77.

61. Working capital

Legacy products and data-center shipments have different receivable, inventory and supplier-payment assumptions. Data-center working capital follows gross invoices, while the Amazon warrant is noncash. Software billed at Starlink deployment creates a deferred-revenue liability until the service period is recognized.

The $2.644 billion opening customer-incentive liability is tied to the legacy QCT revenue base. New data-center revenue receives no automatic cash rebate float. Paid capacity commitments and delayed manufacturing inventory are separately traced through cash and operating costs.

The opening inventory calibration preserves the reported $8.640 billion total. It assigns 90 days of modeled variable input cost to data-center inventory and calibrates legacy inventory to approximately 180.955 days of its narrower variable-input cost base. The same fixed scale factor applies to the seventeen-quarter legacy inventory-days path, preserving its selected relative efficiency trend. The future trend is an analytical assumption; customer-level stock aging and depletion schedules are undisclosed.

62. Operating balances

Quarter	Trade Ar	Unbilled Ar	Inventory	Trade Ap	Customer Incentive Liability	Unearned Revenue	Payroll Liability
2026Q4	3,015.746	1,614.724	8,640.000	2,771.402	2,551.614	150.000	1,792.200
2027Q1	3,342.505	1,614.724	9,395.629	3,076.969	2,643.780	100.000	1,830.839
2027Q2	3,742.934	1,643.558	10,042.820	3,313.482	2,817.957	50.000	1,870.367
2027Q3	3,932.158	1,643.558	10,184.274	3,425.620	2,854.169	0.239	1,910.805
2027Q4	3,843.329	1,643.558	9,657.279	3,379.577	2,745.530	0.456	2,182.797
2028Q1	4,166.620	1,643.558	10,368.482	3,636.838	2,905.226	0.954	2,215.085
2028Q2	4,501.199	1,672.393	11,080.663	3,895.583	3,094.062	1.402	2,247.918
2028Q3	4,676.606	1,672.393	11,243.591	3,983.298	3,137.878	2.105	2,281.307
2028Q4	4,810.212	1,672.393	11,100.871	4,102.577	3,123.343	2.730	2,359.183
2029Q1	5,340.779	1,672.393	12,087.152	4,502.308	3,284.112	3.343	2,393.710
2029Q2	5,726.584	1,701.227	12,779.151	4,787.211	3,473.847	3.873	2,428.821
2029Q3	6,059.327	1,701.227	13,118.910	4,983.062	3,517.835	4.321	2,464.526
2029Q4	6,254.312	1,701.227	12,851.962	5,062.243	3,489.814	4.507	2,702.885
2030Q1	6,733.492	1,701.227	13,779.151	5,435.760	3,651.120	4.627	2,739.809
2030Q2	7,006.325	1,730.061	14,336.205	5,653.560	3,841.616	4.632	2,777.358
2030Q3	7,141.474	1,730.061	14,468.655	5,729.148	3,885.609	4.598	2,815.544
2030Q4	7,247.739	1,730.061	14,457.975	5,764.116	3,827.787	3.986	3,056.426

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

63. Working-capital cash and prepaid capacity

Quarter	Net working capital	Working-capital cash change	Prepaid capacity
2026Q4	6,763.004	-890.204	757.750
2027Q1	7,460.520	-697.516	759.250
2027Q2	8,132.006	-671.486	754.500
2027Q3	8,312.657	-180.651	743.500
2027Q4	7,531.681	780.976	695.875
2028Q1	8,062.557	-530.876	642.000
2028Q2	8,597.164	-534.607	581.875
2028Q3	8,703.503	-106.339	515.500
2028Q4	8,413.517	289.986	417.875
2029Q1	9,240.225	-826.708	323.375
2029Q2	9,745.209	-504.984	232.000
2029Q3	10,053.469	-308.260	143.750
2029Q4	9,679.303	374.167	131.250
2030Q1	10,504.430	-825.128	121.875
2030Q2	10,911.050	-406.620	115.625
2030Q3	11,017.792	-106.742	112.500
2030Q4	10,895.961	121.832	112.500

64. Software recognition and customer obligation

Quarter	Billed	Recognized revenue	Closing deferred software
2026Q4	0.000	0.000	0.000
2027Q1	0.000	0.000	0.000
2027Q2	0.000	0.000	0.000
2027Q3	2.604	2.365	0.239
2027Q4	2.604	2.387	0.456
2028Q1	5.906	5.408	0.954
2028Q2	5.906	5.457	1.402
2028Q3	9.208	8.506	2.105
2028Q4	9.208	8.582	2.730
2029Q1	9.906	9.293	3.343
2029Q2	9.906	9.376	3.873
2029Q3	9.906	9.458	4.321
2029Q4	7.953	7.767	4.507
2030Q1	7.953	7.833	4.627
2030Q2	7.430	7.424	4.632
2030Q3	7.430	7.464	4.598
2030Q4	1.571	2.182	3.986

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

65. Capacity deposits

Quarter	New cash deposit	Consumed cost	Closing asset
2026Q4	50.000	42.250	757.750
2027Q1	50.000	48.500	759.250
2027Q2	50.000	54.750	754.500
2027Q3	50.000	61.000	743.500
2027Q4	50.000	97.625	695.875
2028Q1	50.000	103.875	642.000
2028Q2	50.000	110.125	581.875
2028Q3	50.000	116.375	515.500
2028Q4	25.000	122.625	417.875
2029Q1	25.000	119.500	323.375
2029Q2	25.000	116.375	232.000
2029Q3	25.000	113.250	143.750
2029Q4	25.000	37.500	131.250
2030Q1	25.000	34.375	121.875
2030Q2	25.000	31.250	115.625
2030Q3	25.000	28.125	112.500
2030Q4	25.000	25.000	112.500

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

66. Source exhibit: opening balance sheet Source PDF page 5

QUALCOMM Incorporated
CONSOLIDATED BALANCE SHEETS
(In millions, except par value amounts)
(Unaudited)

	September 27, 2026	September 28, 2025
ASSETS		
Current assets:		
Cash and cash equivalents	$ 4,636	$ 5,520
Restricted cash	—	2,323
Marketable securities	3,045	4,635
Accounts receivable, net	4,199	4,315
Inventories	8,640	6,526
Other current assets	1,752	2,435
Total current assets	22,272	25,754
Deferred tax assets	5,783	743
Property, plant and equipment, net	6,104	4,690
Goodwill	16,374	11,358
Other intangible assets, net	1,925	1,148
Other assets	8,371	6,450
Total assets	$ 60,829	$ 50,143
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities:		
Trade accounts payable	$ 3,056	$ 2,791
Payroll and other benefits related liabilities	1,875	1,839
Short-term debt	2,492	—
Other current liabilities	4,555	4,514
Total current liabilities	11,978	9,144
Long-term debt	12,620	14,811
Other liabilities	5,830	4,982
Total liabilities	30,428	28,937
Stockholders' equity:		
Preferred stock, $0.0001 par value; 8 shares authorized; none outstanding	—	—
Common stock and paid-in capital, $0.0001 par value; 6,000 shares authorized; 1,072 and 1,074 shares issued and outstanding, respectively	2,518	—
Retained earnings	27,503	20,646
Accumulated other comprehensive income	380	560
Total stockholders' equity	30,401	21,206
Total liabilities and stockholders' equity	$ 60,829	$ 50,143

Figure 25. opening balance sheet Source PDF page 5.

67. Cash generation and obligations

The model starts with $4.636 billion of cash and $2.366 billion of liquid debt securities. Strategic equity investments are tracked separately. Operating cash generation funds capital expenditures, taxes, employee withholding, debt maturities and shareholder distributions through a complete quarterly bridge.

The filing discloses $18.6 billion of purchase obligations, including $13.8 billion expected within twelve months. These commitments overlap manufacturing inputs already used in the operating forecast. The model identifies their coverage without adding the same production costs twice.

68. Cash generation and investment

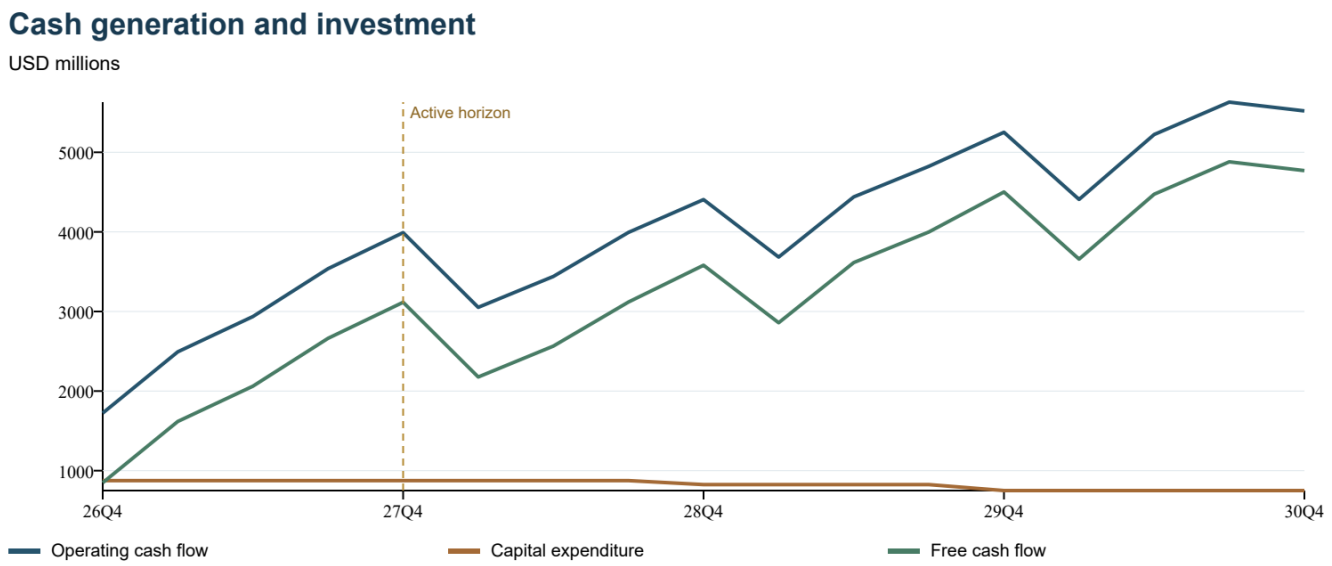


Figure 26. Cash generation and investment. USD millions. Exact values appear below.

Quarter	Operating cash flow	Capital expenditure	Free cash flow
2026Q4	1,723.375	875.000	848.375
2027Q1	2,493.333	875.000	1,618.333
2027Q2	2,936.522	875.000	2,061.522
2027Q3	3,537.530	875.000	2,662.530
2027Q4	3,990.629	875.000	3,115.629
2028Q1	3,051.919	875.000	2,176.919
2028Q2	3,439.995	875.000	2,564.995
2028Q3	3,993.446	875.000	3,118.446
2028Q4	4,405.809	825.000	3,580.809
2029Q1	3,683.514	825.000	2,858.514
2029Q2	4,439.562	825.000	3,614.562
2029Q3	4,823.813	825.000	3,998.813
2029Q4	5,251.508	750.000	4,501.508
2030Q1	4,407.962	750.000	3,657.962
2030Q2	5,223.260	750.000	4,473.260
2030Q3	5,630.346	750.000	4,880.346
2030Q4	5,519.797	750.000	4,769.797

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

69. Complete cash reconciliation

Quarter	Opening cash	CFO	CFI	CFF	Closing cash
2026Q4	4,636.000	1,723.375	-725.598	-2,633.777	3,000.000
2027Q1	3,000.000	2,493.333	-360.729	-2,132.604	3,000.000
2027Q2	3,000.000	2,936.522	-788.868	-2,130.336	3,017.319
2027Q3	3,017.319	3,537.530	734.132	-4,288.980	3,000.000
2027Q4	3,000.000	3,990.629	-875.000	-2,545.410	3,570.219
2028Q1	3,570.219	3,051.919	-875.000	-2,119.684	3,627.454
2028Q2	3,627.454	3,439.995	-875.000	-2,131.574	4,060.875
2028Q3	4,060.875	3,993.446	-875.000	-2,994.043	4,185.278
2028Q4	4,185.278	4,405.809	-825.000	-2,738.919	5,027.168
2029Q1	5,027.168	3,683.514	-825.000	-1,915.012	5,970.670
2029Q2	5,970.670	4,439.562	-825.000	-1,910.099	7,675.134
2029Q3	7,675.134	4,823.813	-825.000	-1,905.186	9,768.761
2029Q4	9,768.761	5,251.508	-750.000	-3,054.371	11,215.898
2030Q1	11,215.898	4,407.962	-750.000	-917.358	13,956.503
2030Q2	13,956.503	5,223.260	-750.000	-917.704	17,512.058
2030Q3	17,512.058	5,630.346	-750.000	-2,618.051	19,774.353
2030Q4	19,774.353	5,519.797	-750.000	-1,644.762	22,899.388

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

70. Source exhibit: reported cash flow Source PDF page 7

QUALCOMM Incorporated
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In millions)
(Unaudited)

	Twelve Months Ended	
	September 27, 2026	September 28, 2025
Operating Activities:		
Net income	$ 13,628	$ 5,541
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization expense	1,630	1,602
Income tax payments (in excess) less than income tax provision	(5,858)	3,980
Share-based compensation expense	3,452	2,783
Net gains on marketable securities and other investments	(752)	(381)
Impairment losses on other investments	88	113
Net gains on equity method investments	(258)	(12)
Other items	(20)	(28)
Changes in assets and liabilities:		
Accounts receivable, net	215	(365)
Inventories	(2,049)	(138)
Other assets	686	971
Trade accounts payable	(3)	119
Payroll, benefits and other liabilities	386	(173)
Net cash provided by operating activities	11,145	14,012
Investing Activities:		
Capital expenditures	(2,494)	(1,192)
Purchases of debt and equity marketable securities	(2,948)	(4,694)
Proceeds from sales and maturities of debt and equity marketable securities	4,906	5,755
Acquisitions and other investments, net of cash acquired	(1,577)	(743)
Proceeds from other investments	45	61
Other items	29	13
Net cash used by investing activities	(2,039)	(800)
Financing Activities:		
Proceeds from short-term debt	5,073	998
Repayment of short-term debt	(4,576)	(998)
Repayment of debt of acquired company	(174)	(4)
Proceeds from issuance of term debt	—	1,487
Repayment of term debt	—	(1,365)
Proceeds from issuance of common stock	224	404
Repurchases and retirements of common stock	(7,817)	(8,791)
Dividends paid	(3,854)	(3,805)
Payments of tax withholdings related to vesting of share-based awards	(1,134)	(1,115)
Other items	(37)	(7)
Net cash used by financing activities	(12,295)	(13,196)
Effect of exchange rate changes on cash and cash equivalents	(18)	(22)
Net decrease in total cash, cash equivalents and restricted cash	(3,207)	(6)
Total cash and cash equivalents at beginning of period (including $2,323 classified as restricted cash at September 28, 2025)	7,843	7,849
Total cash and cash equivalents at end of period (including $2,323 classified as restricted cash at September 28, 2025)	$ 4,636	$ 7,843

Figure 27. reported cash flow Source PDF page 7.

71. Debt and liquidity

Opening gross book financial debt is $15.112 billion, including commercial paper. The face-value bridge is $15.606 billion; note discounts and hedge-related carrying adjustments explain the difference. The selected valuation deducts gross book financial debt at the first quarter of each four-quarter window.

Cash and redeemable debt securities fund maturities in the selected order. The $4 billion revolving facility remains undrawn in the base model while the exact trailing covenant calculation is unresolved. Its agreement includes a minimum 3.00-times EBITDA-to-interest covenant, defined with contractual adjustments and borrowing conditions. Forecast operating profit does not establish current borrowing eligibility.

72. Liquidity and gross financial debt

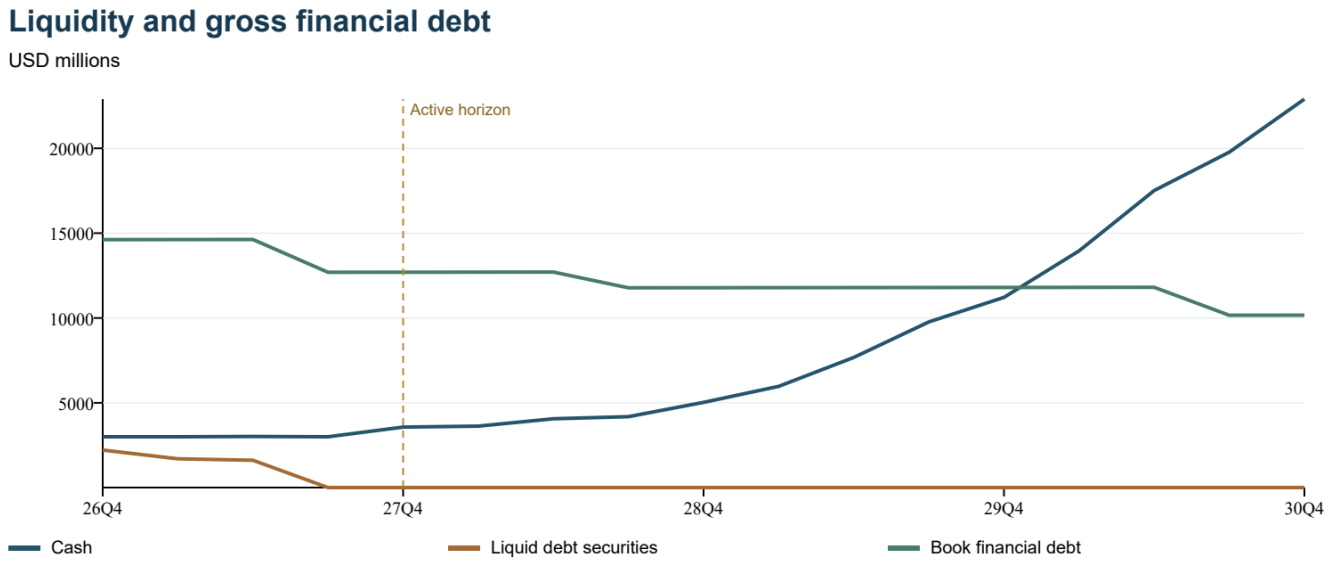


Figure 28. Liquidity and gross financial debt. USD millions. Exact values appear below.

Quarter	Cash	Liquid debt securities	Book financial debt
2026Q4	3,000.000	2,216.598	14,617.375
2027Q1	3,000.000	1,702.327	14,621.750
2027Q2	3,017.319	1,616.195	14,626.125
2027Q3	3,000.000	7.063	12,694.163
2027Q4	3,570.219	7.063	12,698.538
2028Q1	3,627.454	7.063	12,702.913
2028Q2	4,060.875	7.063	12,707.288
2028Q3	4,185.278	7.063	11,779.000
2028Q4	5,027.168	7.063	11,783.375
2029Q1	5,970.670	7.063	11,787.750
2029Q2	7,675.134	7.063	11,792.125
2029Q3	9,768.761	7.063	11,796.500
2029Q4	11,215.898	7.063	11,800.875
2030Q1	13,956.503	7.063	11,805.250
2030Q2	17,512.058	7.063	11,809.625
2030Q3	19,774.353	7.063	10,160.944
2030Q4	22,899.388	7.063	10,165.319

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

73. Financial-debt and interest bridge

Quarter	Gross face debt	Book debt	Principal paid	Interest expense	Cash interest
2026Q4	15,107.000	14,617.375	499.000	163.070	158.695
2027Q1	15,107.000	14,621.750	0.000	158.593	154.218
2027Q2	15,107.000	14,626.125	0.000	160.306	155.931
2027Q3	13,107.000	12,694.163	2,000.000	173.058	147.253
2027Q4	13,107.000	12,698.538	0.000	141.236	136.861
2028Q1	13,107.000	12,702.913	0.000	139.748	135.373
2028Q2	13,107.000	12,707.288	0.000	139.748	135.373
2028Q3	12,145.000	11,779.000	962.000	145.261	131.863
2028Q4	12,145.000	11,783.375	0.000	131.239	126.864
2029Q1	12,145.000	11,787.750	0.000	128.481	124.106
2029Q2	12,145.000	11,792.125	0.000	129.860	125.485
2029Q3	12,145.000	11,796.500	0.000	130.854	126.479
2029Q4	12,145.000	11,800.875	0.000	130.584	126.209
2030Q1	12,145.000	11,805.250	0.000	127.840	123.465
2030Q2	12,145.000	11,809.625	0.000	129.212	124.837
2030Q3	10,445.000	10,160.944	1,700.000	132.798	117.376
2030Q4	10,445.000	10,165.319	0.000	112.918	108.543

74. Debt carrying-value reconciliation

Quarter	Note face value	Unamortized discount	Hedge carrying adjustment	Commercial paper	Discount amortization	Retired hedge adjustment
2026Q4	15,107.000	170.625	319.000	0.000	4.375	0.000
2027Q1	15,107.000	166.250	319.000	0.000	4.375	0.000
2027Q2	15,107.000	161.875	319.000	0.000	4.375	0.000
2027Q3	13,107.000	136.070	276.768	0.000	4.375	42.232
2027Q4	13,107.000	131.695	276.768	0.000	4.375	0.000
2028Q1	13,107.000	127.320	276.768	0.000	4.375	0.000
2028Q2	13,107.000	122.945	276.768	0.000	4.375	0.000
2028Q3	12,145.000	109.546	256.454	0.000	4.375	20.314
2028Q4	12,145.000	105.171	256.454	0.000	4.375	0.000
2029Q1	12,145.000	100.796	256.454	0.000	4.375	0.000
2029Q2	12,145.000	96.421	256.454	0.000	4.375	0.000
2029Q3	12,145.000	92.046	256.454	0.000	4.375	0.000
2029Q4	12,145.000	87.671	256.454	0.000	4.375	0.000
2030Q1	12,145.000	83.296	256.454	0.000	4.375	0.000
2030Q2	12,145.000	78.921	256.454	0.000	4.375	0.000
2030Q3	10,445.000	63.499	220.557	0.000	4.375	35.897
2030Q4	10,445.000	59.124	220.557	0.000	4.375	0.000

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

75. Cash liquidity movements

Quarter	Opening cash	Opening debt securities	Securities redeemed	Closing cash	Closing debt securities
2026Q4	4,636.000	2,366.000	149.402	3,000.000	2,216.598
2027Q1	3,000.000	2,216.598	514.271	3,000.000	1,702.327
2027Q2	3,000.000	1,702.327	86.132	3,017.319	1,616.195
2027Q3	3,017.319	1,616.195	1,609.132	3,000.000	7.063
2027Q4	3,000.000	7.063	0.000	3,570.219	7.063
2028Q1	3,570.219	7.063	0.000	3,627.454	7.063
2028Q2	3,627.454	7.063	0.000	4,060.875	7.063
2028Q3	4,060.875	7.063	0.000	4,185.278	7.063
2028Q4	4,185.278	7.063	0.000	5,027.168	7.063
2029Q1	5,027.168	7.063	0.000	5,970.670	7.063
2029Q2	5,970.670	7.063	0.000	7,675.134	7.063
2029Q3	7,675.134	7.063	0.000	9,768.761	7.063
2029Q4	9,768.761	7.063	0.000	11,215.898	7.063
2030Q1	11,215.898	7.063	0.000	13,956.503	7.063
2030Q2	13,956.503	7.063	0.000	17,512.058	7.063
2030Q3	17,512.058	7.063	0.000	19,774.353	7.063
2030Q4	19,774.353	7.063	0.000	22,899.388	7.063

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

76. Source exhibit: debt terms Source PDF page 75

QUALCOMM Incorporated
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Note 6. Debt

Term Debt. The following table provides a summary of our term debt:

	September 27, 2026			September 28, 2025		
	Maturities	Amount (in millions)	Effective Rate	Maturities	Amount (in millions)	Effective Rate
Fixed-rate notes	2027 - 2053	$ 15,107	2.63% - 6.06%	2027 - 2053	$ 15,107	2.39% - 5.12%
Total principal		15,107			15,107	
Unamortized discount, including debt issuance costs		(175)			(201)	
Hedge accounting adjustments		(319)			(95)	
Total term debt		$ 14,613			$ 14,811	
Reported as:						
Short-term debt		$ 1,993			$ —	
Long-term debt		12,620			14,811	
Total		$ 14,613			$ 14,811	

At September 27, 2026, future principal payments of our term debt were as follows (in millions):

2027	$ 2,000
2028	962
2029	—
2030	1,700
2031	—
Thereafter	10,445
Total	$ 15,107

At September 27, 2026, the aggregate fair value of the notes, based on Level 2 inputs, was approximately $13.3 billion.

At September 27, 2026, all of our outstanding term debt is comprised of unsecured fixed-rate notes. We may redeem the outstanding fixed-rate notes at any time in whole, or from time to time in part, at specified make-whole premiums as defined in the applicable form of note. The obligations under the notes rank equally in right of payment with all of our other senior unsecured indebtedness and will effectively rank junior to all liabilities of our subsidiaries.

The effective interest rates for the notes include the interest on the notes, amortization of the discount, which includes debt issuance costs, and if applicable, adjustments related to hedging. Interest is payable in arrears semi-annually for the notes. Cash interest paid related to our commercial paper program and term debt was $642 million, $614 million and $656 million during fiscal 2026, 2025 and 2024, respectively.

Interest Rate Swaps. At September 27, 2026 and September 28, 2025, we had outstanding interest rate swaps with an aggregate notional amount of $5.0 billion and $3.6 billion, respectively, that are designated as fair value hedges and allow us to effectively convert fixed-rate payments into floating-rate payments on a portion of our outstanding term debt.

Commercial Paper Program. We have an unsecured commercial paper program, which provides for the issuance of up to $4.5 billion. Net proceeds from this program are for general corporate purposes. Maturities of commercial paper can range from 1 to up to 397 days. At September 27, 2026 and September 28, 2025, we had $499 million and no amounts of commercial paper outstanding, respectively. At September 27, 2026, the weighted-average interest rate was 3.84%, which included fees paid to the commercial paper dealers, and the weighted-average remaining days to the maturity was 20 days. The carrying value of the outstanding commercial paper approximated its estimated fair value at September 27, 2026.

Revolving Credit Facility. We have a Revolving Credit Facility that provides for unsecured revolving facility loans, swing line loans and letters of credit in an aggregate amount of up to $4.0 billion, which expires on August 8, 2029. At September 27, 2026 and September 28, 2025, no amounts were outstanding under the Revolving Credit Facility.

Debt Covenants. The Revolving Credit Facility requires that we comply with certain covenants, including that we maintain an interest coverage ratio as defined in the agreement. We are not subject to any financial covenants under the notes nor any covenants that would prohibit us from incurring additional indebtedness ranking equal to the notes, paying dividends or issuing securities or repurchasing securities issued by us or our subsidiaries. At September 27, 2026, we were in compliance with the applicable covenants under the Revolving Credit Facility.

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Figure 29. debt terms Source PDF page 75.

77. Buybacks and dividends

The selected repurchase request is $1 billion per quarter, including the assumed excise-tax reserve. Executed purchases depend on remaining authorization, mandatory obligations and a $3 billion liquid-resource floor across the current quarter and the next four quarter ends. Execution uses the dated $173.19 market-price proxy.

The final four forecast quarters have no discretionary repurchases because the full look-ahead window extends beyond the modeled horizon. Dividends continue under their selected schedule. Legal shares, employee issuances, withholding and actual repurchased shares reconcile separately.

The federal repurchase excise-tax source specifies a 1% rate and eligible issuance netting. The implementation preserves that annual relationship and distinguishes share-purchase cash from the tax reserve. Future tax-law or execution-price changes receive sensitivities.

78. Executed capital returns

Quarter	Repurchase budget	Repurchase cash	Repurchased shares	Remaining authority	Dividend cash	Excise reserve
2026Q4	1,000.000	990.099	5.717	18,560.901	986.240	9.901
2027Q1	1,000.000	990.099	5.717	17,570.802	983.830	19.802
2027Q2	1,000.000	990.099	5.717	16,580.703	981.382	29.703
2027Q3	710.628	703.592	4.063	15,877.111	978.897	6.341
2027Q4	999.450	989.554	5.714	14,887.557	982.881	9.896
2028Q1	985.412	975.656	5.633	13,911.901	984.966	19.652
2028Q2	1,000.000	990.099	5.717	12,921.802	982.447	29.553
2028Q3	988.045	978.262	5.648	11,943.540	979.815	12.349
2028Q4	1,000.000	990.099	5.717	10,953.441	976.321	9.901
2029Q1	1,000.000	990.099	5.717	9,963.342	980.413	19.802
2029Q2	1,000.000	990.099	5.717	8,973.243	975.500	29.703
2029Q3	1,000.000	990.099	5.717	7,983.144	970.587	20.043
2029Q4	1,000.000	990.099	5.717	6,993.045	965.675	9.901
2030Q1	0.000	0.000	0.000	6,993.045	972.858	9.901
2030Q2	0.000	0.000	0.000	6,993.045	973.204	9.901
2030Q3	0.000	0.000	0.000	6,993.045	973.551	0.000
2030Q4	0.000	0.000	0.000	6,993.045	973.898	0.000

79. Source exhibit: Issuer capital-allocation framework



Figure 30. Issuer capital-allocation framework. Executed repurchases and dividends are modeled with remaining authorization and available liquidity.

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

80. Book tax and cash tax

Fiscal 2026 includes a $5.7 billion deferred-tax valuation allowance release. The recurring forecast does not repeat that benefit. Book tax, current tax accrual, tax payments and the net deferred-tax asset have distinct roll-forwards.

The jurisdiction allocation, FDDEI eligibility and timing of credit utilization are explicit assumptions. Finite R&D and tax-credit pools constrain their modeled use. Changes in the net deferred-tax asset follow current tax less book tax; pool diagnostics reconcile to that total without a second subtraction.

The Korean tax receivable and related uncertain tax positions are evaluated together. The filing's approximately $2.7 billion receivable does not support an independent cash windfall when related liabilities and foreign-credit consequences remain. Recurring employee-tax benefits and discrete settlements are also shown separately.

The baseline current-tax proxy starts with recurring pretax profit after ordinary book stock-compensation expense, with no separate excess tax benefit. The vest-value sensitivity replaces the deduction for unissued employee awards with gross vested units multiplied by the fixed $173.19 share-price reference. Issued acquisition-service costs and ESPP retain their base treatment. Book tax and normalized net income retain the same recurring pretax basis; current tax, deferred taxes, cash, conditional repurchases and shares then recalculate.

81. Book, current and cash taxes

Quarter	Recurring pretax	Book tax	Taxable proxy	Current tax	Cash tax	Net DTA
2026Q4	1,533.658	191.707	1,533.658	160.862	581.000	5,603.154
2027Q1	1,642.972	205.371	1,642.972	172.327	160.862	5,570.110
2027Q2	2,019.687	252.461	2,019.687	211.840	172.327	5,529.489
2027Q3	2,100.786	262.598	2,100.786	220.346	211.840	5,487.238
2027Q4	1,621.092	226.953	1,621.092	170.032	220.346	5,430.317
2028Q1	1,898.551	265.797	1,898.551	199.134	170.032	5,363.654
2028Q2	2,273.830	318.336	2,273.830	238.496	199.134	5,283.815
2028Q3	2,598.987	363.858	2,598.987	272.601	238.496	5,192.558
2028Q4	2,717.342	407.601	2,717.342	285.015	272.601	5,069.972
2029Q1	3,079.874	461.981	3,079.874	329.273	285.015	4,937.264
2029Q2	3,512.809	526.921	3,512.809	385.020	329.273	4,795.363
2029Q3	3,709.065	556.360	3,709.065	408.075	385.020	4,647.078
2029Q4	3,753.991	563.099	3,753.991	413.079	408.075	4,497.059
2030Q1	4,105.262	615.789	4,105.262	451.732	413.079	4,333.002
2030Q2	4,515.967	677.395	4,515.967	496.925	451.732	4,152.532
2030Q3	4,646.852	697.028	4,646.852	511.327	496.925	3,966.831
2030Q4	4,649.965	697.495	4,649.965	511.670	511.327	3,781.006

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

82. Finite tax pools

Quarter	R&D pool	Federal credits	Foreign credits	Current tax payable
2026Q4	3,670.497	475.024	98.102	160.862
2027Q1	3,599.253	464.338	89.641	172.327
2027Q2	3,511.674	451.201	79.240	211.840
2027Q3	3,420.578	437.537	68.422	220.346
2027Q4	3,350.283	426.993	60.073	170.032
2028Q1	3,267.957	414.644	50.296	199.134
2028Q2	3,169.358	399.854	38.586	238.496
2028Q3	3,056.659	382.949	25.202	272.601
2028Q4	2,938.828	365.274	11.209	285.015
2029Q1	2,805.276	345.241	1.580	329.273
2029Q2	2,652.952	322.393	0.061	385.020
2029Q3	2,492.117	298.268	0.000	408.075
2029Q4	2,329.334	273.850	0.000	413.079
2030Q1	2,151.319	247.148	0.000	451.732
2030Q2	1,955.494	217.774	0.000	496.925
2030Q3	1,753.995	187.549	0.000	511.327
2030Q4	1,552.360	157.304	0.000	511.670

83. Tax payable and deferred-tax reconciliation

Quarter	Opening payable	Current accrual	Tax paid	Closing payable	Opening DTA	Closing DTA
2026Q4	581.000	160.862	581.000	160.862	5,634.000	5,603.154
2027Q1	160.862	172.327	160.862	172.327	5,603.154	5,570.110
2027Q2	172.327	211.840	172.327	211.840	5,570.110	5,529.489
2027Q3	211.840	220.346	211.840	220.346	5,529.489	5,487.238
2027Q4	220.346	170.032	220.346	170.032	5,487.238	5,430.317
2028Q1	170.032	199.134	170.032	199.134	5,430.317	5,363.654
2028Q2	199.134	238.496	199.134	238.496	5,363.654	5,283.815
2028Q3	238.496	272.601	238.496	272.601	5,283.815	5,192.558
2028Q4	272.601	285.015	272.601	285.015	5,192.558	5,069.972
2029Q1	285.015	329.273	285.015	329.273	5,069.972	4,937.264
2029Q2	329.273	385.020	329.273	385.020	4,937.264	4,795.363
2029Q3	385.020	408.075	385.020	408.075	4,795.363	4,647.078
2029Q4	408.075	413.079	408.075	413.079	4,647.078	4,497.059
2030Q1	413.079	451.732	413.079	451.732	4,497.059	4,333.002
2030Q2	451.732	496.925	451.732	496.925	4,333.002	4,152.532
2030Q3	496.925	511.327	496.925	511.327	4,152.532	3,966.831
2030Q4	511.327	511.670	511.327	511.670	3,966.831	3,781.006

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

84. Source exhibit: income tax reconciliation Source PDF page 71

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The following is a reconciliation of the expected statutory federal income tax provision to our actual income tax provision from continuing operations for fiscal 2026 (in millions, except percentages). A significant portion of our U.S. income qualifies for preferential treatment as FDDEI at a 13% effective tax rate.

	2026	
Expected income tax provision at federal statutory tax rate (1)	$ 1,977	21%
Foreign tax effects (2):		
China	230	2%
Singapore	(195)	(2%)
South Korea	173	2%
Other foreign jurisdictions	167	2%
Effect of cross-border tax laws:		
Benefit from foreign-derived deduction eligible income (FDDEI)	(368)	(4%)
Income from branches	360	4%
Other	124	1%
Tax credits:		
Foreign tax credit	(752)	(8%)
Research and development credits	(229)	(2%)
Changes in valuation allowance	(5,781)	(61%)
Nontaxable or nondeductible items	176	2%
Other	(96)	(1%)
	$ (4,214)	(45%)

(1) Percentages may not sum due to rounding.

(2) Foreign tax effects in China and South Korea primarily relate to withholding tax and in Singapore primarily relate to non-resident source investment income.

The following is a reconciliation of the expected statutory federal income tax provision to our actual income tax provision from continuing operations for fiscal 2025 and 2024 (in millions):

	2025	2024
Expected income tax provision at federal statutory tax rate	$ 2,659	$ 2,171
Change in valuation allowance on federal deferred tax assets	5,724	—
Benefit from FDDEI deduction	(1,227)	(1,181)
Benefit related to research and development tax credits	(237)	(259)
Excess tax (benefit) deficiency associated with share-based awards	(120)	(176)
Benefit related to the transfer of intellectual property between foreign subsidiaries	(8)	(317)
Other	331	(12)
	$ 7,122	$ 226
Effective tax rate	56%	2%

In the fourth quarter of fiscal 2025, tax reform legislation included in the One Big Beautiful Bill Act (OBBB) was enacted in the United States. The OBBB included significant corporate tax reforms, including changes to the foreign-derived deduction eligible income (FDDEI) regime and changes allowing domestic research and development (R&D) expenditures to be deducted as incurred beginning in fiscal 2026 (under prior law such expenditures were capitalized and amortized over five years). As a result, we expected to be perpetually subject to corporate alternative minimum tax (CAMT) and established a $5.7 billion valuation allowance on our federal deferred tax assets in fiscal 2025.

In the second quarter of fiscal 2026, the U.S. Department of Treasury and the Internal Revenue Service issued Notice 2026-07, which, among other items, allows us to reduce CAMT by certain previously capitalized domestic R&D expenditures. As a result, we no longer expect to be subject to CAMT in the foreseeable future, and therefore, we now expect to realize our existing federal deferred tax assets. Accordingly, we released our valuation allowance on our federal deferred tax assets resulting in a $5.7 billion income tax benefit in the second quarter of fiscal 2026. Changes in future taxable income, tax laws and other factors may change our determination regarding whether we will be able to realize our deferred tax assets.

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Figure 31. income tax reconciliation Source PDF page 71.

85. Shares and ownership

Opening legal common equity is approximately 1.072 billion shares at September 27, including the already issued exchangeable shares. The November 2 cover-page count is a separately dated rounded observation. Each receives its own date in the report.

The future economic denominator combines legal shares after cash repurchases and employee issuance, stock-award diluted equivalents and the full 25 million customer-warrant reserve. Dividends on unvested awards are modeled through their accrued rights and paid cash at vesting, without issuing new shares for the same entitlement.

The incentive plan has 64 million shares of remaining capacity. Grants use that finite reserve; any unsupported portion converts to cash retention compensation over the matching service period. The report displays the reserve and cash-replacement dependency.

86. Legal and economic shares

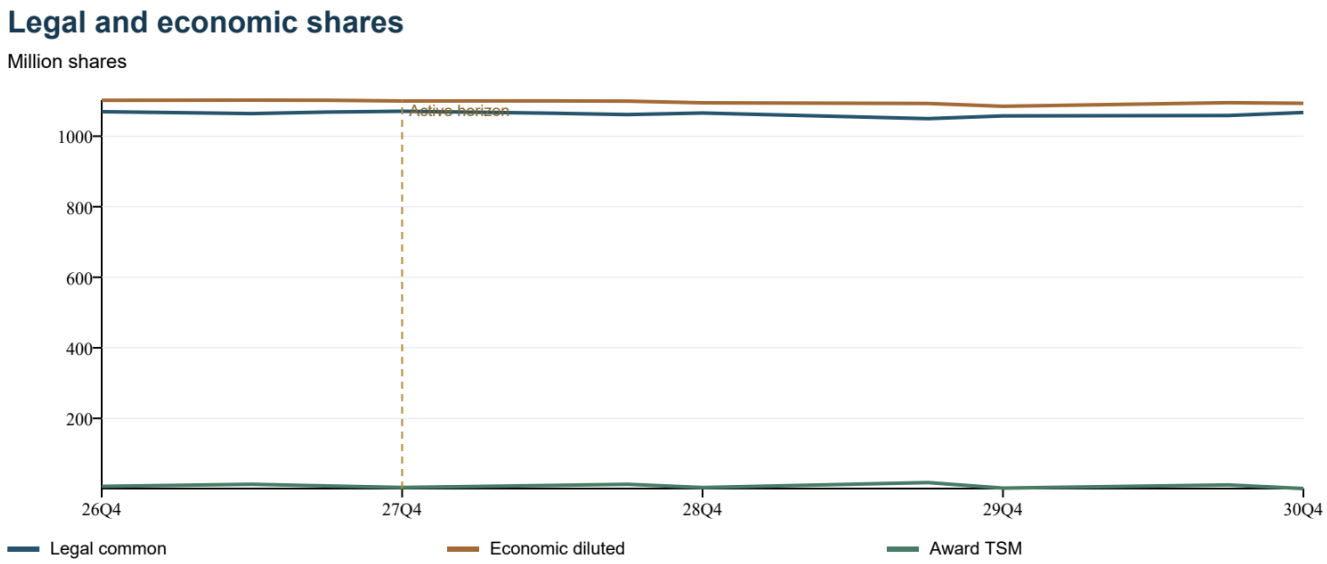


Figure 32. Legal and economic shares. Million shares. Exact values appear below.

Quarter	Legal common	Economic diluted	Award TSM
2026Q4	1,069.381	1,101.659	7.278
2027Q1	1,066.720	1,101.917	10.197
2027Q2	1,064.018	1,102.193	13.175
2027Q3	1,068.349	1,101.818	8.468
2027Q4	1,070.615	1,099.729	4.114
2028Q1	1,067.877	1,099.900	7.023
2028Q2	1,065.016	1,100.004	9.987
2028Q3	1,061.219	1,099.361	13.142
2028Q4	1,065.666	1,094.546	3.880
2029Q1	1,060.326	1,093.924	8.598
2029Q2	1,054.986	1,093.303	13.317
2029Q3	1,049.646	1,092.682	18.035
2029Q4	1,057.454	1,084.730	2.276
2030Q1	1,057.831	1,088.130	5.299
2030Q2	1,058.208	1,091.530	8.322
2030Q3	1,058.585	1,094.930	11.345
2030Q4	1,067.131	1,093.133	1.002

87. Employee and dividend-equivalent cash

Quarter	Withholding	ESPP cash	Dividend-equivalent cash	Closing dividend-equivalent liability
2026Q4	201.945	55.500	11.993	125.334
2027Q1	198.845	55.500	15.329	159.501
2027Q2	195.793	55.500	18.561	185.655
2027Q3	595.045	55.500	66.946	158.885
2027Q4	564.265	55.500	57.869	151.729
2028Q1	186.915	55.500	27.648	164.248
2028Q2	184.046	55.500	30.483	169.830
2028Q3	109.407	55.500	20.058	182.074
2028Q4	726.407	55.500	89.242	138.952
2029Q1	0.000	55.500	0.000	172.319
2029Q2	0.000	55.500	0.000	204.628
2029Q3	0.000	55.500	0.000	235.905
2029Q4	975.860	55.500	158.194	107.979
2030Q1	0.000	55.500	0.000	122.676
2030Q2	0.000	55.500	0.000	136.897
2030Q3	0.000	55.500	0.000	150.653
2030Q4	606.308	55.500	120.056	43.897

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

88. Source exhibit: diluted equivalents opening assets Source PDF page 67

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The following table provides information about the diluted earnings per share calculation (in millions):

	2026	2025	2024
Dilutive common share equivalents included in diluted shares	9	9	14
Shares of common stock equivalents not included because the effect would be anti-dilutive or certain performance conditions were not satisfied at the end of the period	9	2	4

Recently Adopted Accounting Pronouncement.

Income Tax Disclosures: In December 2023, the FASB issued new requirements to disclose annually certain additional detailed income tax information related to the effective tax rate reconciliation and income taxes paid, among other items. We adopted the new requirements in our annual reporting for fiscal 2026 on a prospective basis (Note 3).

Recent Accounting Pronouncements Not Yet Adopted.

Income Statement - Expense Disaggregation Disclosures: In November 2024, the FASB issued new requirements to disclose certain additional expense information on an annual and interim basis, including (among other items) the amounts of purchases of inventory, employee compensation, depreciation and intangible asset amortization included within each income statement expense caption, as applicable. We will adopt the new requirements starting in fiscal 2028 on a prospective basis.

Note 2. Composition of Certain Financial Statement Items

Accounts Receivable (in millions)

	September 27, 2026	September 28, 2025
Trade, net of allowances for doubtful accounts	$ 2,671	$ 2,855
Unbilled	1,504	1,443
Other	24	17
	$ 4,199	$ 4,315

Inventories (in millions)

	September 27, 2026	September 28, 2025
Raw materials	$ 657	$ 336
Work-in-process	5,450	3,985
Finished goods	2,533	2,205
	$ 8,640	$ 6,526

Property, Plant and Equipment (in millions)

	September 27, 2026	September 28, 2025
Land	$ 167	$ 168
Buildings and improvements	1,864	1,915
Computer equipment and software	3,024	2,165
Machinery and equipment	10,119	9,360
Furniture and office equipment	156	148
Leasehold improvements	630	594
Construction in progress	224	154
	16,184	14,504
Less accumulated depreciation and amortization	(10,080)	(9,814)
	$ 6,104	$ 4,690

Depreciation and amortization expense related to property, plant and equipment for fiscal 2026, 2025 and 2024 was $1.2 billion, $1.3 billion and $1.4 billion, respectively.

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Figure 33. diluted equivalents opening assets Source PDF page 67.

89. Joint commercial outcomes

The selected tree has 24 complete outcomes. It combines three data-center execution states, an additional CPU conversion outcome, a paired mobile price-and-cost outcome and the Starlink deployment outcome. Conditional probabilities link the cases, so one broad execution risk can affect several product lines.

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

Every state carries its own operating results, working capital, financing, repurchases and ownership. The final valuation weights complete state values after those nonlinear decisions. Delayed orders and canceled commitments are tracked at the batch level, with capacity limits and explicit writeoffs.

90. All 24 joint outcomes

DC: on plan, one quarter late, or two quarters with capacity loss. CPU, mobile and Starlink outcomes are conditionally weighted.

State	Probability %	Calculated Q4 2027 ceiling
on_plan / cpu 0 / mobile 0 / star 0	10.332	157.754
on_plan / cpu 0 / mobile 0 / star 1	24.108	157.877
on_plan / cpu 0 / mobile 1 / star 0	3.780	138.687
on_plan / cpu 0 / mobile 1 / star 1	3.780	138.810
on_plan / cpu 1 / mobile 0 / star 0	6.888	157.754
on_plan / cpu 1 / mobile 0 / star 1	16.072	157.877
on_plan / cpu 1 / mobile 1 / star 0	2.520	138.687
on_plan / cpu 1 / mobile 1 / star 1	2.520	138.810
one_quarter_late / cpu 0 / mobile 0 / star 0	3.364	148.037
one_quarter_late / cpu 0 / mobile 0 / star 1	7.849	148.160
one_quarter_late / cpu 0 / mobile 1 / star 0	3.019	129.033
one_quarter_late / cpu 0 / mobile 1 / star 1	3.019	129.156
one_quarter_late / cpu 1 / mobile 0 / star 0	1.121	148.037
one_quarter_late / cpu 1 / mobile 0 / star 1	2.616	148.160
one_quarter_late / cpu 1 / mobile 1 / star 0	1.006	129.033
one_quarter_late / cpu 1 / mobile 1 / star 1	1.006	129.156
two_quarters_and_capacity / cpu 0 / mobile 0 / star 0	0.851	136.209
two_quarters_and_capacity / cpu 0 / mobile 0 / star 1	1.985	136.332
two_quarters_and_capacity / cpu 0 / mobile 1 / star 0	1.733	116.806
two_quarters_and_capacity / cpu 0 / mobile 1 / star 1	1.733	116.931
two_quarters_and_capacity / cpu 1 / mobile 0 / star 0	0.095	136.209
two_quarters_and_capacity / cpu 1 / mobile 0 / star 1	0.221	136.332
two_quarters_and_capacity / cpu 1 / mobile 1 / star 0	0.193	116.806
two_quarters_and_capacity / cpu 1 / mobile 1 / star 1	0.193	116.931

91. Active-window state-first valuation derivation

Operating profit and debt are USD millions; shares are millions; each state ceiling is USD per share. The final ceiling weights the 24 state ceilings after each state applies its own debt and end-window shares. O = on-plan DC; D1 = one-quarter delay; D2 = two-quarter/capacity case. The separate weighted OP, debt and share headlines are diagnostics.

State code	Weight %	Four-quarter OP	Debt at Q	Shares at Q+3	State ceiling
O / cpu 0 / mobile 0 / star 0	10.332	9,294.359	12,698.538	1,097.842	157.754
O / cpu 0 / mobile 0 / star 1	24.108	9,301.247	12,698.538	1,097.859	157.877
O / cpu 0 / mobile 1 / star 0	3.780	8,268.818	12,698.538	1,100.881	138.687
O / cpu 0 / mobile 1 / star 1	3.780	8,275.706	12,698.538	1,100.898	138.810
O / cpu 1 / mobile 0 / star 0	6.888	9,294.359	12,698.538	1,097.842	157.754
O / cpu 1 / mobile 0 / star 1	16.072	9,301.247	12,698.538	1,097.859	157.877
O / cpu 1 / mobile 1 / star 0	2.520	8,268.818	12,698.538	1,100.881	138.687
O / cpu 1 / mobile 1 / star 1	2.520	8,275.706	12,698.538	1,100.898	138.810
D1 / cpu 0 / mobile 0 / star 0	3.364	8,776.506	12,698.538	1,099.939	148.037
D1 / cpu 0 / mobile 0 / star 1	7.849	8,783.394	12,698.538	1,099.957	148.160
D1 / cpu 0 / mobile 1 / star 0	3.019	7,750.965	12,698.538	1,102.979	129.033
D1 / cpu 0 / mobile 1 / star 1	3.019	7,757.853	12,698.538	1,102.996	129.156
D1 / cpu 1 / mobile 0 / star 0	1.121	8,776.506	12,698.538	1,099.939	148.037
D1 / cpu 1 / mobile 0 / star 1	2.616	8,783.394	12,698.538	1,099.957	148.160
D1 / cpu 1 / mobile 1 / star 0	1.006	7,750.965	12,698.538	1,102.979	129.033
D1 / cpu 1 / mobile 1 / star 1	1.006	7,757.853	12,698.538	1,102.996	129.156
D2 / cpu 0 / mobile 0 / star 0	0.851	8,123.999	12,698.538	1,099.642	136.209
D2 / cpu 0 / mobile 0 / star 1	1.985	8,130.888	12,698.538	1,099.660	136.332
D2 / cpu 0 / mobile 1 / star 0	1.733	7,098.458	12,698.538	1,106.716	116.806
D2 / cpu 0 / mobile 1 / star 1	1.733	7,105.347	12,698.538	1,106.711	116.931
D2 / cpu 1 / mobile 0 / star 0	0.095	8,123.999	12,698.538	1,099.642	136.209
D2 / cpu 1 / mobile 0 / star 1	0.221	8,130.888	12,698.538	1,099.660	136.332
D2 / cpu 1 / mobile 1 / star 0	0.193	7,098.458	12,698.538	1,106.716	116.806
D2 / cpu 1 / mobile 1 / star 1	0.193	7,105.347	12,698.538	1,106.711	116.931

92. Numerical contribution ledger

The contribution ledger traces each material source signal to its already included reference scope, conditional incremental units or sales, costs, timing, overlap treatment and counter-trigger. Paired state comparisons show revenue and operating-profit effects for a defined period.

The data-center timing family is shown as a joint execution exposure. Existing custom silicon, connectivity, HBC and Meta CPU remain within that family. The additional CPU customer and Starlink program retain separate incremental tests with their matching support, qualification and cash requirements.

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

93. Numerical Rule 16b contributions: FY2027 (calendar Q4 2026 to Q3 2027)

Paired effects overlap through conditional probabilities and shared operating/cash consequences. Do not sum them as an additive waterfall.

Signal	Probability %	Conditional revenue change	Conditional OP change	Weighted revenue change	Weighted OP change
Additional CPU conversion	34.450	0.000	0.000	0.000	0.000
Paired mobile input-cost pressure	24.500	-1,101.068	-724.098	-269.762	-177.404
Starlink on-plan deployment	65.100	3.633	1.103	2.365	0.718
Joint data-center execution risk	30.000	-1,535.806	-664.368	-460.742	-199.310

94. Reference scope and conditional bounds: FY2027 (calendar Q4 2026 to Q3 2027)

Signal	Reference revenue	Reference OP	Conditional revenue	Conditional OP	OP change range
Additional CPU conversion	47,712.176	7,890.804	47,712.176	7,890.804	0.000 to 0.000
Paired mobile input-cost pressure	47,507.576	7,875.227	46,406.508	7,151.129	-724.098 to -724.098
Starlink on-plan deployment	47,595.862	7,853.965	47,599.495	7,855.068	1.103 to 1.103
Joint data-center execution risk	47,975.587	8,004.756	46,439.781	7,340.388	-1,333.256 to -306.319

95. Numerical Rule 16b contributions: Active Q4 2027 window (Q4 2027 to Q3 2028)

Paired effects overlap through conditional probabilities and shared operating/cash consequences. Do not sum them as an additive waterfall.

Signal	Probability %	Conditional revenue change	Conditional OP change	Weighted revenue change	Weighted OP change
Additional CPU conversion	34.450	0.000	0.000	0.000	0.000
Paired mobile input-cost pressure	24.500	-1,538.525	-1,025.541	-376.939	-251.258
Starlink on-plan deployment	65.100	22.183	6.888	14.441	4.484
Joint data-center execution risk	30.000	-1,843.475	-892.604	-553.043	-267.781

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

96. Reference scope and conditional bounds: Active Q4 2027 window (Q4 2027 to Q3 2028)

Signal	Reference revenue	Reference OP	Conditional revenue	Conditional OP	OP change range
Additional CPU conversion	55,262.140	8,967.262	55,262.140	8,967.262	0.000 to 0.000
Paired mobile input-cost pressure	55,041.265	8,943.738	53,502.740	7,918.197	-1,025.541 to -1,025.541
Starlink on-plan deployment	55,111.519	8,911.868	55,133.702	8,918.757	6.888 to 6.888
Joint data-center execution risk	55,565.612	9,114.336	53,722.137	8,221.732	-2,015.877 to -330.941

97. Numerical Rule 16b contributions: FY2029 (calendar Q4 2028 to Q3 2029)

Paired effects overlap through conditional probabilities and shared operating/cash consequences. Do not sum them as an additive waterfall.

Signal	Probability %	Conditional revenue change	Conditional OP change	Weighted revenue change	Weighted OP change
Additional CPU conversion	34.450	228.197	86.839	78.614	29.916

98. Reference scope and conditional bounds: FY2029 (calendar Q4 2028 to Q3 2029)

Signal	Reference revenue	Reference OP	Conditional revenue	Conditional OP	OP change range
Additional CPU conversion	66,260.346	13,516.623	66,488.543	13,603.462	22.713 to 95.167

99. Signal sources and counter-triggers

Signal / date	Reference scope and lineage	Counter-trigger
Additional CPU conversion; Nov 4, 2026 earnings call	A customer beyond Meta; existing Meta and HBC remain in the reference DC family. approved model states[].rows[].revenue / OP	Customer award, qualification or volume acceptance fails.
Paired mobile input-cost pressure; Nov 4, 2026 earnings call; retained pricing evidence	Handset and legacy IoT price/cost scope; existing price, PC and supply overlays are replaced. approved model states[].rows[].revenue / OP	Unit demand, passed-through prices and input costs improve beyond the selected adverse path.
Starlink on-plan deployment; Nov 4, 2026 issuer Starlink announcement	Full reference Starlink scope is removed from IoT before the realized program is added. approved model states[].rows[].revenue / OP	Site deployment, contract scope, collection or software acceptance slips.
Joint data-center execution risk; Nov 4, 2026 earnings call	Joint family includes conditional changes in CPU, mobile and Starlink probabilities. This overlaps the isolated paired effects. approved model states grouped by DC execution prefix; normalized conditional weights	Accepted production and customer schedules meet or exceed the selected on-plan path.

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

100. Complete quarterly model

The complete operating model covers seventeen calendar quarters from Q4 2026 through Q4 2030. Source actuals appear separately with their reported fiscal dates. Product revenue, gross profit, recurring expense, cash generation, debt and ownership tables use one validated set of financial arrays.

101. Complete quarterly income

Model gross profit is presented before the allocation of employee SBC. Normalized operating profit includes all recurring employee SBC and ordinary acquired-intangible amortization.

Quarter	Revenue	Gross profit before SBC	Company non-GAAP OP	Normalized OP	Net income
2026Q4	10,850.000	5,787.433	2,987.433	1,650.531	1,341.951
2027Q1	11,409.250	5,986.814	3,100.911	1,764.878	1,437.600
2027Q2	12,419.600	6,461.569	3,481.547	2,145.080	1,767.226
2027Q3	12,835.995	6,653.698	3,581.859	2,244.957	1,838.188
2027Q4	12,650.403	6,526.988	3,363.520	1,737.434	1,394.139
2028Q1	13,381.677	6,879.103	3,636.980	2,011.329	1,632.753
2028Q2	14,277.635	7,332.323	4,010.424	2,384.773	1,955.494
2028Q3	14,702.854	7,527.154	4,123.314	2,713.018	2,235.129
2028Q4	15,054.845	7,672.454	4,181.242	2,813.697	2,309.741
2029Q1	16,006.497	8,110.123	4,534.302	3,167.626	2,617.893
2029Q2	17,079.523	8,619.720	4,958.695	3,591.584	2,985.887
2029Q3	17,767.812	8,891.244	5,141.459	3,773.914	3,152.706
2029Q4	18,009.274	8,983.035	5,150.669	3,805.182	3,190.892
2030Q1	18,837.996	9,376.597	5,469.323	4,139.947	3,489.473
2030Q2	19,766.008	9,838.515	5,857.053	4,527.442	3,838.572
2030Q3	20,175.278	10,011.353	5,953.251	4,638.623	3,949.824
2030Q4	20,224.625	9,995.289	5,862.046	4,601.488	3,952.471

102. Fiscal-year cross-check

Fiscal year	Revenue	Normalized OP	Net income	CFO	FCF
FY2027	47,514.845	7,805.446	6,384.965	10,690.760	7,190.760
FY2028	55,012.569	8,846.554	7,217.516	14,475.989	10,975.989
FY2029	65,908.677	13,346.822	11,066.227	17,352.698	14,052.698
FY2030	76,788.557	17,111.193	14,468.761	20,513.077	17,513.077

103. Rolling four-quarter valuation

The sanctioned method capitalizes normalized GAAP-style operating profit at 20 times for the current quarter and the following three quarters. It deducts gross book financial debt at the starting quarter and divides by economic diluted shares at the end of that four-quarter window.

Recurring stock compensation and ordinary acquired-intangible amortization remain in operating profit. The full customer-warrant reserve remains in diluted shares with no exercise proceeds. The three incomplete terminal windows remain blank under the preserved display convention.

104. All complete valuation windows

Operating profit and debt are USD millions; shares are millions; the ceiling is USD per share. The ceiling is the probability-weighted value of complete states, each using its own operating profit, starting debt and end-window shares. The expected numerator and denominator columns are diagnostics.

Start quarter	Expected four-quarter OP	Multiple	Expected start debt	Expected Q+3 shares	Calculated ceiling
2026Q4	7,805.446	20.000	14,617.375	1,101.818	128.429351
2027Q1	7,892.349	20.000	14,621.750	1,099.729	130.253487
2027Q2	8,138.800	20.000	14,626.125	1,099.900	134.713294
2027Q3	8,378.494	20.000	12,694.163	1,100.004	140.815092
2027Q4	8,846.554	20.000	12,698.538	1,099.361	149.411580
2028Q1	9,922.817	20.000	12,702.913	1,094.546	169.732672
2028Q2	11,079.115	20.000	12,707.288	1,093.924	190.966945
2028Q3	12,285.926	20.000	11,779.000	1,093.303	214.001865
2028Q4	13,346.822	20.000	11,783.375	1,092.682	233.539188
2029Q1	14,338.307	20.000	11,787.750	1,084.730	253.526364
2029Q2	15,310.627	20.000	11,792.125	1,088.130	270.599329
2029Q3	16,246.485	20.000	11,796.500	1,091.530	286.897823
2029Q4	17,111.193	20.000	11,800.875	1,094.930	301.794642
2030Q1	17,907.499	20.000	11,805.250	1,093.133	316.856318

105. Included periods

Start quarter	Four-quarter window
2026Q4	2026Q4 + 2027Q1 + 2027Q2 + 2027Q3
2027Q1	2027Q1 + 2027Q2 + 2027Q3 + 2027Q4
2027Q2	2027Q2 + 2027Q3 + 2027Q4 + 2028Q1
2027Q3	2027Q3 + 2027Q4 + 2028Q1 + 2028Q2
2027Q4	2027Q4 + 2028Q1 + 2028Q2 + 2028Q3
2028Q1	2028Q1 + 2028Q2 + 2028Q3 + 2028Q4
2028Q2	2028Q2 + 2028Q3 + 2028Q4 + 2029Q1
2028Q3	2028Q3 + 2028Q4 + 2029Q1 + 2029Q2
2028Q4	2028Q4 + 2029Q1 + 2029Q2 + 2029Q3
2029Q1	2029Q1 + 2029Q2 + 2029Q3 + 2029Q4
2029Q2	2029Q2 + 2029Q3 + 2029Q4 + 2030Q1
2029Q3	2029Q3 + 2029Q4 + 2030Q1 + 2030Q2
2029Q4	2029Q4 + 2030Q1 + 2030Q2 + 2030Q3
2030Q1	2030Q1 + 2030Q2 + 2030Q3 + 2030Q4

106. Sensitivity tests

The completed financial tests cover vest-value tax deductions, suspension of buybacks, higher selling prices, lower data-center capacity, higher capex and a severe funding case. Price tests hold reference dollar manufacturing costs and physical capacity fixed. The opening award service periods and contract-specific assumptions remain source uncertainties.

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

Funding results retain mandatory maturity payments, plan limits and the look-ahead repurchase rule. Any infeasible case identifies the unpaid obligation or liquidity shortfall. Assumptions with limited source disclosure receive explicit ranges and measured effects only after the validated model has run.

107. Validated financial sensitivities: Q4 2027

USD millions. Each test is compared with its matching baseline coverage. Single-state tests use the named state directly. The severe funding case is financially infeasible and has no valuation.

Case / coverage	Revenue delta	OP delta	FCF delta	Cash delta
Vesting-value tax deduction / All 24 states	0.000	0.000	85.846	85.866
No buybacks / All 24 states	0.000	0.000	29.110	2,344.050
Prices +10% / On-plan DC; CPU success; stable mobile; on-plan Starlink	1,282.500	1,279.613	1,178.743	2,992.803
DC capacity -10% / On-plan DC; CPU success; stable mobile; on-plan Starlink	-190.000	-71.565	-54.432	-54.293
Capex +20% / On-plan DC; CPU success; stable mobile; on-plan Starlink	0.000	-39.820	-172.274	-169.009
Severe funding stress / Delayed DC; no extra CPU; mobile pressure; slow Starlink	0.000	-5,166.348	-4,668.903	-3,008.768

108. Funding and ownership sensitivity

Shares are in millions; liquidity and obligations are USD millions. The tax case changes only the deduction for unissued awards. Book operating profit remains unchanged.

Case	Q3 2028 share delta	Terminal liquidity change	Maximum unpaid obligations	Valuation eligible
Vesting-value tax deduction	0.904	20.362	0.000	Yes
No buybacks	43.926	12,832.704	0.000	Yes
Prices +10%	-0.307	24,869.899	0.000	Yes
DC capacity -10%	0.172	-1,571.880	0.000	Yes
Capex +20%	4.021	-2,136.815	0.000	Yes
Severe funding stress	36.571	-16,198.191	97,884.514	No

109. Framework score

The pre-valuation framework selection totals 41 out of 60, mapping to a 68% analytical Base and a matching 68% Excel Base. The category scores are Core 16, Cycle 7, TAM 8, Catalysts 4, Macro 7 and Alpha 4, with a five-point risk deduction.

The five penalized risk classes are customer concentration and internal designs; technology, qualification and launch execution; supply, memory costs and China exposure; licensing and litigation outcomes; and capital investment, compensation and dilution. The score was selected before financial valuation and remains independent of the resulting target.

110. Framework score selected before valuation

Category	Score
Core	16.000
Cycle	7.000
TAM	8.000
Catalysts	4.000
Macro	7.000
Alpha	4.000
Risks	-5.000
Total	41.000
Analytical Base	68.000
Excel Base	68.000

111. Risks and invalidation

The main operating risks are customer concentration and program acceptance, advanced-node supply and packaging availability, input-cost pass-through, and the speed of the handset transition. Product announcements become financially meaningful as customer qualification, purchase terms and shipments firm up.

Accounting and capital-allocation risks include the gross-to-net warrant treatment, the economic cost of recurring employee compensation, uncertain tax positions, debt maturity funding and the available incentive-plan reserve. Current disclosures leave material uncertainty in customer-level pricing, complete award-cohort allocation and some timing conventions.

Counter-triggers include customer schedule reductions, weaker accepted unit volumes, failure to pass through manufacturing costs, inventory aging, larger cash tax payments, or a capital-return plan that no longer fits mandatory commitments. Each trigger has an identified line in the operating or cash model.

112. Dated catalysts

The near-term schedule includes fiscal Q1 2027 data-center deliveries, the first-half 2027 AI250 sample window and initial Starlink deployment. Later checkpoints include HBC revenue qualification, Meta CPU contribution in fiscal 2028’s second half, and the selected additional CPU customer from calendar Q4 2028.

Management’s fiscal 2027 and fiscal 2029 data-center revenue targets provide comparison points. The report tracks accepted shipments, available capacity and cash conversion against those targets without treating a target as a binding purchase order.

113. Sources and completeness

The financial source set includes the fiscal 2026 Form 10-K, the November 4 fiscal Q4 earnings release and complete fiscal Q4 and fiscal Q3 management-call transcripts, including Q&A. The current Form 10-K business, risk, legal, management discussion, financial statements and relevant notes were read.

The current earnings presentation could not be retrieved through the available slide source or two issuer URL probes. The original call audio was not independently replayed. Full transcripts, the earnings tables, current engineering material and preserved earlier issuer presentations form the retained evidence set.

Every displayed source image retains its original content and a dated caption. Older presentation targets and the secondary pricing exhibit are labeled with their source vintage. Current model figures are regenerated from the final validated financial data.

114. Principal source register

Source	Date / scope	Exact URL or retained identity
Fiscal 2026 Form 10-K	Sep 27 fiscal year; filedNov 4	https://investor.qualcomm.com/files/content_files/QCOM-09-27-26-10-K_Final-v2-IR.pdf
FiscalQ 42026 earnings	Nov 4,2026	https://investor.qualcomm.com/files/content_files/FY2026-4th-Quarter-Earnings-Release.pdf
Q4 full call and Q&A	Nov 4,2026	urn:transcripts:quartr.com:4453434
Q3 full call and Q&A	Jul 29,2026	urn:transcripts:quartr.com:3925059
HBC engineering update	Nov 2,2026	https://www.qualcomm.com/news/onq/2026/11/qualcomm-hbc-validated-silicon-ai-inference
Starlink Mobile	Nov 4,2026	https://www.qualcomm.com/news/releases/2026/11/spacex-selects-qualcomm-to-accelerate-starlink-mobile-s-nationwi
Credit agreement	Aug 8,2024	https://www.sec.gov/Archives/edgar/data/804328/000080432824000061/qcom080824ex101.htm
Repurchase excise	Oct 9,2026 retained statute	https://uscode.house.gov/us/usc/119-121/t26/s4501/

115. Method appendix

All model currency amounts are in millions of US dollars unless a table specifies dollars per share or per physical unit. Calendar Q4 2026 corresponds to fiscal Q1 2027. Operating, cash and ownership quantities remain separate throughout the forecast.

The report links to the same compact model used for the financial tables and charts. The embedded model identifies the validated financial source and its workbook linkage. Earlier published forecast vintages remain preserved outside this current-state report.